



GAIL (India) Limited

DELEGATION OF POWERS 2024



Preface

I am pleased to announce the release of the newly revised and updated Delegation of Powers (DoP). The updated DoP will supersede previous Delegation of Powers documents, including any amendments, modifications, or clarifications issued periodically by the Company Secretariat (CST).

Recognizing the vital importance of effective delegation in ensuring the seamless operation and long-term growth of our organization, I acknowledge that delegation goes beyond task assignment; it is a strategic imperative that empowers individuals, fosters collaboration, and ignites innovation. Our Company has consistently prioritized cultivating a culture grounded in trust, accountability and efficiency.

In today's rapidly evolving business landscape, characterized by rapid technological advancement and evolving market demands, the skill of effective delegation has never been more critical. This updated DoP serves as a definitive resource, providing invaluable insights, best practices, and practical guidance on delegation.

Adaptability is paramount in our industry's continually changing environment, and the updates made to the DoP reflect our commitment to remaining agile and responsive to change.

I am confident that this DoP will empower all of you to fully unleash the potential of delegation within our company, driving us towards even greater levels of achievement and excellence.

(Sandeep Kumar Gupta)
Chairman

Place: New Delhi
Date: 1st April, 2024



DELEGATION OF POWERS

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Chapter-1

Introduction

The DoP has been drawn up keeping in mind the following criteria:

- 1.1 The revised delegation is expected to effectively contribute towards the smooth, expeditious and efficient utilization of the company's resources for achieving the laid down goals and targets, within the policy framework apart from enabling executives at all levels in respective disciplines to discharge their responsibilities effectively and to develop for higher responsibilities.
- 1.2 The delegation is subject to such controls / instructions that are conveyed from time to time to the executives in general or in particular.
- 1.3 Any interpretation placed on the delegation shall take into account the intent, purpose and concept behind the delegation i.e. to execute work in a manner which is smooth (i.e. not causing any disturbance or dislocation in the course of execution), cost effective, (being the best possible alternative at the least possible cost) and expeditious (i.e. ensure timely and quickest possible realization of objective without any hindrance or impediment).
- 1.4 The financial powers shall always be exercised with due observance of the rules of financial propriety, including but not limited to:
 - Expenditure should prima facie, be not more than what the occasion demands.
 - Every employee should exercise the same vigilance in respect of expenditure incurred from public money, as a person of ordinary prudence would exercise in respect of expenditure of his own money.
 - No authority should exercise its powers of sanctioning expenditure to pass an order which will be directly or indirectly to its own advantage.
 - Expenditure should not be incurred for the benefit of a particular person or a section of the people, unless
 - a) a claim for the amount could be enforced in a Court of Law, or
 - b) the expenditure is in pursuance of a recognized policy or custom.

All amendment(s)/modification(s)/clarification(s) in the DoP shall be issued by the Company Secretary after examination by cross functional committee consisting of HoD of F&A, C&P, CS & concerned department and approval of Competent Authority.



Chapter 2

Guidelines for Developing “Complete Proposal” for Expeditious Disposal of Cases

I– General Guidelines

- 1. File Number:** Every file shall have a unique number.
- 2. Colour coding of files:** Proposals shall generally be initiated in E-notesheet. Whenever file is initiated other than E-notesheet Colour coding shall be as under:
 - i. Blue coloured files - Normal proposals
 - ii. Green coloured files - Priority / foreign deputation proposals
 - iii. White coloured files - Board notes & agendas for any sub-committee of the Board
 - iv. Yellow coloured files – Fast track for projects
 - v. Red coloured files – VIP reference files (including Parliament Questions / Parliamentary Committee matters)
- 3. Size of paper:** All note sheets, letter heads, DO letters and other papers to be placed on the file shall be of A-4 size.
- 4. Colour coding of paper:** Note Sheet / Continuation Sheet will be green-colored A-4 size paper. Annexures / other papers will be white colored or as originally printed.
- 5. Note Sheet/E-notesheet:**
 - i. Note sheet would carry the GAIL logo in top left-hand corner. The name of department, work centre, reference/ file no. would appear on top left corner of the sheet, date shall appear on the top right of the sheet. Before commencement of the note, ‘**Target Date**’ and ‘**Subject**’ shall invariably be mentioned as per the sample given below: -

Target Date: -.....	
Note Sheet	
File No.....	Date
Subject:	

- ii. Note sheet(s) will form the first page of the proposal.
- iii. Continuation sheets will be serially numbered as per sample given below: -

Target Date: -.....	
Continuation Sheet – 1	
File No.....	Date
(from pre-page)	

Process of E-notesheet may be followed as per the system requirements through GAIL Intranet in line with corporate instructions issued from time to time in this regard.

- 6.Queries:** Queries on any proposal shall be put on the notesheet. Summary of the replies shall also be put on the notesheet and the details/ supporting documents shall be placed on the right side. Replies to queries or observations not to be routed through all officials mentioned in Ideal File Movement System if such queries do not lead to any changes in the proposal in its spirit.



7. **Placement of papers:** Note sheets shall be punched and placed on left hand side of the file. All other papers / annexures shall be punched and placed on the right hand side of the file. The note sheets shall be numbered NS-1, NS-2, etc. from top to bottom and other pages shall be serially numbered from bottom to top.
8. **Font Face / Font Size / Spacing:** The note will be typed in “Times New Roman” having font size of “14” in single space.
9. **Flagging:** Flags shall be spread throughout the width of the paper without any overlapping.
10. **Paragraph numbering:** All paragraphs, which would normally not exceed 7-8 lines, must be serially numbered.
11. **Level of Initiator:** The initiator of a note shall be at the most **two levels below the competent authority**. In absence of appropriate level being available, the highest level / next senior level shall initiate the proposal. In case of deviation from this norm, initiator shall specify the reason for exception.
12. **Financial Concurrence:** Financial concurrence to a proposal shall be accorded by an executive of the F&A department not below two levels of the competent authority. Where an officer in required grade is not posted or in cases where executive below two levels is not available, it would be the concerned next below senior-most officer in Finance Dept. In case of deviation from this norm, the concurring executive should record the reasons for exception. There will preferably be no conditional concurrence. All proposals, which require concurrence of Director (Finance), shall first be put upto HoD (F&A), Corporate Office.
13. **Other Concurrences/ Vetting:** All proposals requiring any concurrence/ vetting shall be got cleared not below 2 levels of the competent authority. In case of deviation from this norm, the concurring executive should record the reasons for exception. There will preferably be no conditional concurrence. All proposals, which require concurrence of the concerned Director, shall first be put up to concerned Functional Head.
14. **Signature of Initiator:** The initiator must put date & year below his/her signature.
15. **No. of Signatures:** Shall not normally exceed the total number of executives referred by the initiator. In case any specific and/or specialized input is required, the executive referred to in the file movement may route the file to one more executive only, in the same department.
16. **Self Approval:** Wherever required, in urgent cases where time is of critical essence, the approving authority may initiate and advise approvals on files on his own for cases that fall within his powers, with reasons recorded. This can be typically done by the approving authority himself/herself either by recording a note in the concerned file or generating a new file.
17. **Owner of decision-making process:** The respective Directors will be the owners of the decision-making process within their directorates i.e. the onus of effectiveness of the decision-making process shall vest with the concerned Directors.



18. Role of Initiator

- i. The objectives of the Proposal and methodology as perceived by the approving authority should be mentioned by initiator
- ii. Individuals to be interacted with, will be restricted to only those identified in DoP / procedures, both in hierarchical and functional terms
- iii. The measure of importance in terms of financial implication and resource requirement should be clearly spelt out, and justified from the point of proprietary/ cost consciousness, its alignment with Corporate Policy and Strategy, reasonability and with cost-benefit analysis, wherever applicable.
- iv. Initiating officer cannot send a file to the approving authority without the clearance of all associated departments
- v. The initiator should clearly specify:
 - (a) the actions required to be taken after approval from competent authority and
 - (b) the department / section / executive responsible for the actions to be taken after approval
- vi. The initiator & his concerned departmental team shall own the recommendations and the veracity of data / facts based on which the proposal has been initiated.

19. Role of Recommending & Approving Authority

- i. All executives involved in the subsequent stages of the file movement shall own their recommendations / value-addition / endorsement at each level. Approving authority shall own the final decision taken, to the extent of his/her final judgment based on the inputs/clarifications/recommendations in earlier stages.
- ii. Approving authority must clear the file preferably within 3 to 7 working days, (depending upon the complexity and priority of the case) unless he finds that the views of some new department(s) need to be sought and the reasons for that need to be recorded in file. No ambiguous statement, which does not clearly indicate “Yes” or “No” be made while clearing / returning the file.

20. Support Function Role: For items where opinions of support services/ Departments are required, such opinions should be sought by the initiator from the concerned HOD/ Section Head who should not route the file to more than one executive in the same department; such service departments should return the file with comments within three working days.

21. Accountability of Initiator:

- i. Submission of the complete proposal by the initiator to the approving authority duly supported by support functions wherever required within time including the quality of the proposal.
- ii. Making sure that the approval is sent back to the user in case he has initiated the proposal for the user.
- iii. In case initiator is responsible for execution, he should be accountable for that.



22. Accountability of Approving Authority:

- i. Clearly spell out expectations, guidelines criteria upfront to the extent possible and if asked for by the initiator.
- ii. Approving or rejecting the proposal within time limit and giving proper reason for rejection, if any.
- iii. In case opinions of new persons are required, other than DoP provisions, clearly state it with reasons.

II– Drafting of Complete Proposal

23. Perfect Approach: Perfect approach to drafting of complete proposal has been enumerated in **Annexure – I**. The same must be followed scrupulously without any exception.

The initiator shall, in the first instance, obtain the views of all concerned executives on the working proposal. Thereafter, the initiator shall move the Final Proposal to the approving authority incorporating the views of all concerned. This process will involve two phases viz., Initiation and Approval. A process diagram explaining the two phases of processing a proposal has been enclosed at **Annexure – II**.

III – Miscellaneous

- 24. Authority to close files:** The authority to close a file will lie with the initiator / implementer only. File Movement System (FMS) will normally not allow closing of files by executives other than initiator / implementer. In case of situations like transfers / separations from company/ replacement, the concerned reporting officer shall be closing the file.
- 25. Tracking:** In order to enable measurement and tracking of decision-making process efficiency, summary of file movement will be digitally generated from FMS.
- 26. Monitoring Mechanism:** Each department will be responsible for enforcement of the “Complete Proposal” guidelines. Regular monitoring and auditing of the same will be done by the department itself.



Annexure – I

“Perfect Approach” to drafting of “COMPLETE PROPOSAL”

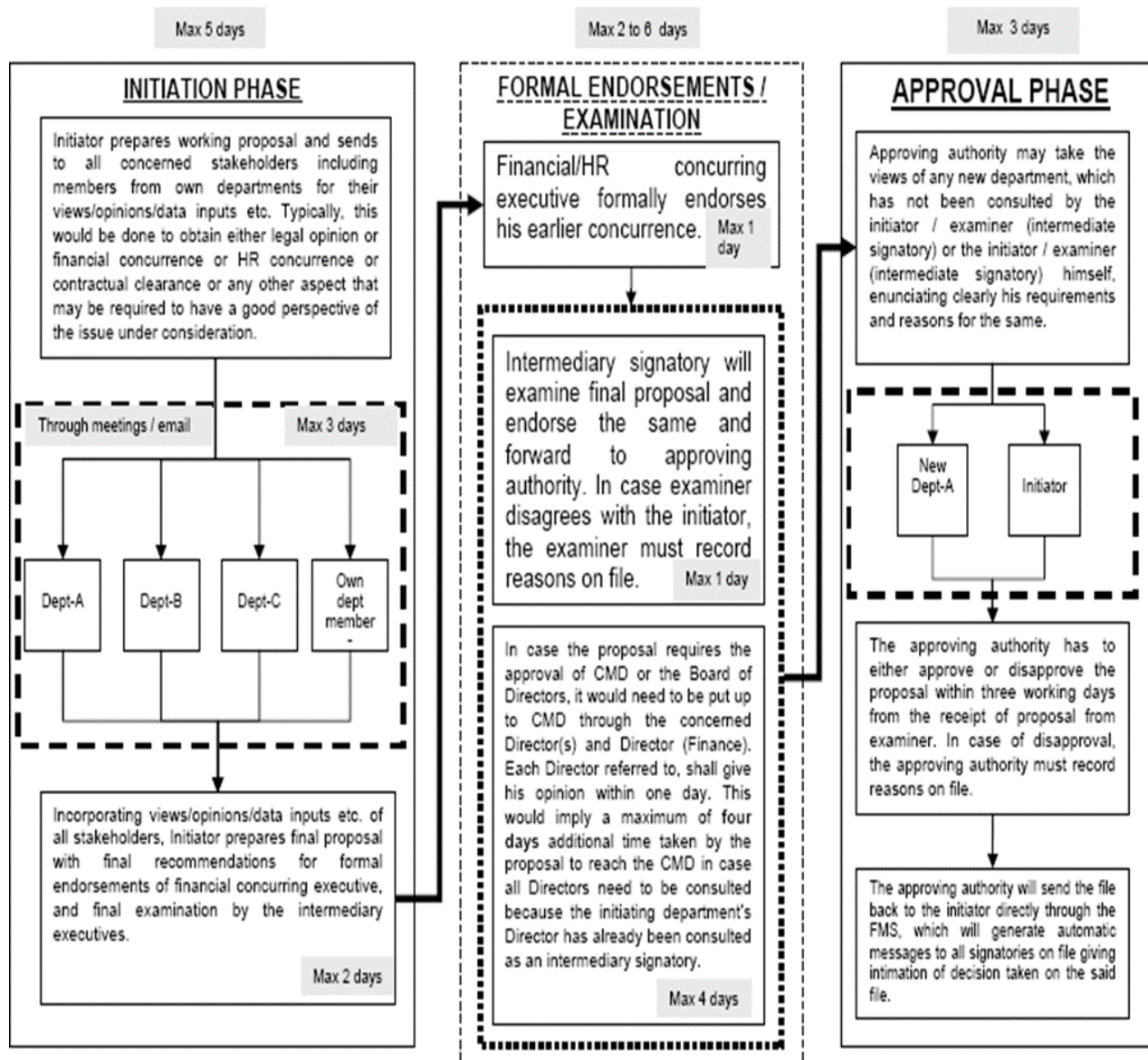
[For Working Proposal and Final Proposal]

S.No.	Heads to be addressed	Brief Description of Head
1.	Target Date:	Every proposal must have a “Target Date” which shall be indicated on the right hand top corner of the Note Sheet and each Continuation Sheet.
2.	Subject:	The proposal is to be enunciated in a sentence not exceeding two lines.
3.	Background:	In this, brief description and genesis of the case is to be recorded to establish the perspective in which the proposal is made.
4.	Main Body:	Here a detailed analysis of the proposal must be furnished including: - • Previous references to similar proposals, if any, giving highlights of the variance and the reasons in favor of the current proposal. • Evidence in the form of statistical data/analysis, reputed Publications / written opinions of renowned authorities, to substantiate the arguments in favor of the proposal. • Various alternatives, if any, together with their pros and cons. • Incorporating the views of the executives to whom the proposal was referred, bringing out the strength of the current proposal.
5.	Recommendation:	Among the alternatives considered in the Main Body, final recommendation for the best alternative, including time of completion for execution , is to be recorded giving adequate justification. The recommendations should be precisely stated and should in no case be recorded as “proposed as above”.
6.	Financial Implication:	The Financial Implication of the proposal, if applicable, must be clearly specified giving break-up of all components. The information must, inter alia, include the following elements: - • Estimated cost / guesstimated cost • Budget Provision • Expenditure Period
7.	Financial/Other Concurrences:	In case the proposal requires financial and/or Other concurrence, the same may be highlighted while forwarding the working proposal. The final proposal should indicate the status of concurrence in explicit form.
8.	Resource Requirement:	In case adequate provision does not exist in the BE/RE of a financial year, mention must be made about financial resources required, if any, beyond BE/RE. Additionally, if any manpower or other resources are required for fulfilling the task, the same must be mentioned also.



9.	Approving Authority:	The text should only contain the following: DoP Clause:..... Approving Authority for the proposal as per DoP..... a) Instant proposal will not result into any transaction by GAIL with Related Party of i) GAIL or ii) GAIL's Subsidiary; OR b) Instant proposal will result into transaction by GAIL with Related Party of i) GAIL or ii) GAIL's Subsidiary. Audit Committee is the competent authority for approving the Related Party Transaction(s) and approval of the Audit Committee exists for the same/ will be obtained prior to undertaking transaction(s) with Related Party.
10.	Action after approval:	The proposal should clearly enunciate the actions required to be taken after approval.
11.	Annexures:	The proposal should be kept as brief as possible. However, if data is required to elaborate the proposal, the same may be attached as Annexures (by drawing references).
12.	Ideal file movement:	Indicate the ideal file movement path. On return, the approving authority shall mark the file directly to the initiator. The FMS would generate automatic information about the decision (Approved/Not approved) to all signatories on file.

PROCESS DIAGRAM FOR DECISION MAKING





Chapter - 2A

General

-
- 2.1.1 The powers delegated should be exercised to the right extent and at the right point of time. Failure to do either of these would defeat the purpose of this delegation.
- 2.1.2 It is clarified that powers for approval of purchase would vest with executives in C&P at site and CO; OICs at site/ work centre, E9/E8 as HoD (those who are reporting directly to a Director or C&MD) at CO and E8(HR)/E7 (HR-Admin) at CO. Powers for approval under the head “works”/ “consulting services”/ “hiring of contract services” would vest with executives of concerned user departments, OIC.
- 2.1.3 The executives exercising the powers delegated under the head ‘HR’ for employees working under their administrative control should do so in consultation with the HR department.
- 2.1.4 The powers for award of works / purchase / contracts shall be exercised by the competent authority only after receipt of recommendation of a duly constituted committee and after following the approved works / purchase / contract procedure. Award of contract for all works / purchase exceeding “Rs. 15 lacs” in each case should be recommended by a duly constituted tender committee. For the composition of the tender committee refer, to para 4.11 of the C&P manual. The requirement of tender committee / financial concurrence would also not be applicable in case of routine corporate PR / advertisement activities, when these are being undertaken through an empaneled advertising agency as per approved rate contract(s).
- 2.1.5 The powers are to be exercised with the observance of the rules, regulation and instruction on the subject, issued from time to time.
- 2.1.6 The authority according expenditure sanction shall have a system to ensure that the work is executed within the time schedule and as per the planned targets, both physical and financial.
- 2.1.7 As far as possible, post facto approvals should be avoided. In case of post facto approval, it should be ensured that the reasons are clearly specified in writing and approval of the competent authority is taken within 1 month of the incurrence of the expenditure.
- 2.1.8 Consultants/ Project Group shall outline packages for execution of work/ purchase for the projects at the time of deciding the execution philosophy of a project, which shall be approved by the concerned functional director.

2.2 Budgeting and Re-appropriation

- 2.2.1 In order to accelerate the process of approvals and empower executives with effective controls, the DoP lays considerable emphasis on a sound and a comprehensive budgeting system. This book is expected to help offices / executives in the preparation of the annual plan / budgets, since exercise of a number of powers is subject to the provision in annual plan / budget.



- 2.2.2 Therefore, in exercising the powers, competent authorities at all levels would have to ensure that funds are available in the approved annual plan / budget. However, in case, funds are not available in the annual plan / budget, yet, postponement of the expenditure is likely to be detrimental to the company's interest, funds may be provided by re- appropriation, for which the specific proposals shall be initiated by concerned Director and approval shall be taken from C&MD with concurrence of Director (Finance).
- 2.2.3 All expenditure, except in the case of emergency can only be approved, provided budget provision exists for such expenditures.
- 2.2.4 Re-appropriation shall be allowed for the same nature of expenditure. Revenue expenditure should be re-appropriated from revenue expenditure only and capital expenditure to be re-appropriated from capital expenditure only.
- 2.2.5 OIC of respective units will have powers to re-appropriate budget provisions pertaining to the unit within main heads/ inter department for revenue expenditure and capital expenditure subject to ceiling of 10% of overall budget for each such main budget heads, with a report thereof to Corporate Planning Department on a quarterly basis.
- 2.2.6 E-9/ (E-8 as OIC) will have powers to re-appropriate budget provisions within overall budget of plant(s) / department(s) under his charge, with a report thereof to Corporate Planning Department and concerned Director on a quarterly basis.
- 2.2.7 Director will have full powers to re-appropriate within the Board Approved Budget under different heads of expenditure pertaining to the Directorate.
- 2.2.8 Inter Directorate re-appropriation, if any, would be initiated by the concerned Directorate, routed through Director whose Inter-Directorate budget is being transferred and approval shall be obtained from C&MD/ Board (as the case may be) with concurrence of Director (Finance).

2.3 Financial Concurrence

- 2.3.1 These guidelines have been designed with the objective of protecting financial interests of the Company in the decision making while ensuring financial propriety as a part of internal control system. The internal control shall be exercised by the proposer and through the vetting and concurrence by finance department. The financial concurrence process would specifically look at the following:
- That the expenditure conforms to the accepted principles of financial propriety and is justified on the ground of economic viability or administrative prudence.
 - That there is a provision of funds for expenditure in accordance with the approved budget of the company. However, the authorities to whom power has been delegated to incur expenditure shall be responsible for control of expenditure against the corresponding sanctions.
 - That any expenditure is committed/incurred or any liability involving expenditure is created only after the proposed expenditure has been sanctioned by an authority to whom the power has been delegated.
- 2.3.2 The financial concurrence shall be done just before the administrative approval by approving authority. It will be done by an officer from Finance Department, who is normally not more than two levels below the approving authority except where an officer in required grade is not posted or in cases where executive below two level is



not available, it would be the senior most officer in the finance department.

- 2.3.3 All proposals requiring approval of C&MD /Board or any sub-committee of the Board, wherein financial concurrence is required as per DoP, it shall first be concurred by head of finance of the concerned division either separately or as member of committee/ Tender Committee followed by concurrence by Director (Finance).
- 2.3.4 In case of disagreement between the views of the concurring authority and approving authority, the approving authority may overrule the advice of the concurring authority and record the reasons in writing. However, such cases shall be brought to the notice of the authority one level higher than the approving authority but not below the level of E-7 as and when they occur.
- 2.3.5 In cases where either the required financial concurrence (if required) is not taken or the intimation regarding the over ruling of the advice of the concurring authority is not brought to the notice of the authority one level higher than the approving authority, such approvals shall not be considered as approval.
- 2.3.6 In order to avoid duplication of jobs, the following shall not be within the scope of financial concurrence and proposing /initiating department/ agency shall be wholly responsible for:
- Arithmetic accuracy of all calculations indicated in the proposals.
 - Factual accuracy of technical analysis and assumptions thereof as indicated in the proposal.
 - Factual accuracy of technical, statutory requirements and their compliance like Explosive Rules, Factory Act, Environment Acts, various Safety Rules, Legal and Labour Laws, etc.
- 2.3.7 All powers shall be exercised with the concurrence of finance unless otherwise so provided in the schedule of delegated powers. However, following matters are specifically excluded from financial concurrence:

HR

- Pay fixation, sanction of advances, benefits and payments to employees within the rules & regulations and approved schemes of the company and where budget provision exists.

General

- Legal charges and other miscellaneous professional fee upto Rs. 50,000/- in each case.
- Expenses incurred on tender publication, advertisement for recruitment and publication of statutory notices.

- 2.3.8 No financial concurrence is required for proposal seeking In-Principle Approval not having any financial commitment.

2.4 Others

- 2.4.1 The authority for termination of contracts shall vest with the same authority that has approved the contracts.
- 2.4.2 The powers sub-delegated to the executives are subject to the provision that when consultations with other departments are enjoined by any standing or procedural orders, the powers shall be exercised in consultation with concerned departments.
- 2.4.3 These powers are subject to the provisions of the various statutory enactments applicable to the company, the Memorandum and Articles of Association of the



company, the directives issued by the Government and the policies laid down by the Board from time to time. These powers are also subject to the extent of powers delegated by the Board to the C&MD / Functional Directors.

- 2.4.4 Delegation of power cannot be further sub delegated (for below Board level powers).
- 2.4.5 Any proposal/ recommendation being sent to Corporate Office must be forwarded through proper channel i.e. through OIC and concerned E9 (wherever applicable).
- 2.4.6 Rescheduling of Timeline of Project(s) shall be approved by the same authority who approved the Project(s).
- 2.4.7 Administrative approval for nomination/ Proprietary cases is subject to powers for award as detailed in DoP.
- 2.4.8 Wherever both percentage limit and monetary ceiling are specified in the DoP, the same be read as whichever is less.

Illustration:

	Rs. in crore	
Contract Value	50	5
Ceiling limit	10	10
Percentage limit (50% of the contract value)	25	2.5
Applicable limit	10	2.5



Chapter 3

Key Definitions and Explanatory Notes

3.1 Administrative Approval

Administrative approval refers to the process of taking approval from the competent authority for the intention of undertaking any activity and should be taken prior to taking any action towards commitment of any expenditure. No separate administrative approval would, however, be required for carrying out activities that are part of an approved project where such expenditure for components has already been approved by competent authority as a part of the project approval.

Further, administrative approval can also be accorded for those items which are partly covered in the approved budget and where the expenditure of such items spills over beyond the approved budget period, provided proposal of such item clearly mentions the breakup of year-wise expenditure and a commitment by the indenter to keep further provision in the budget for future years.

3.2 Concurrence

Concurrence means an agreement between various stakeholders on the subject of discussion.

3.3 Consultation

A process whereby the initiating authority seeks to ascertain views of the concerned executives/ departments in line with the requirements contained in the DoP. Based on the consultation, the competent authority is equipped to take an appropriate decision.

3.4 Plan/ Approved Plan

It refers to the Plan, including strategic plan, approved by the Board of Directors/ Competent Authority with respect to various activities of the company in any sphere. The plan may be a long or a short-term plan.

3.5 Project/ Scheme

Any activity for which administrative approval has been obtained and is being undertaken by the company may be termed as a Project/ Scheme.

3.6 Extension of Contracts

Extension of contracts relates to execution of items covered as part of an approved contract and/or carrying out of related items not specifically so covered but required to make the "work" to which the contract concerns, complete in all respects and which if not carried out will not render the work usable/complete.

Additional time period to be granted for completion for any activity/ project in an existing contract, with or without levy of liquidated damages/ any financial implications would be treated as part of Extension of Contracts.



3.7 Pre-feasibility

It refers to any study undertaken to ascertain financial/ technical viability for a proposed activity/ project prior to commitment of any expenditure on the proposed activity.

3.8 Re-appropriation of the Project Cost

It refers to "re-classification" of expenses under various head within an approved project cost in order to take any sums saved under a head of such project for expenditure under a different head, where expenses exceed the original estimate.

3.9 Nomination/ Single Tender

Invitation to a sole external agency to bid for any proposed activity is termed as calling on single tender or nomination. Reasons justifying such an action as against normal procedure for competitive bidding should be recorded in writing, wherever, resorting to a nomination/ single tender basis.

3.10 Tender Committee

As defined in section 4.11 of the C&P manual, the Tender Committee(s) would consist of the officers one level below the Competent Authority consisting of an Officer, each from C&P, user Department and Finance & Accounts Department. However, in the event that no Officer of the requisite level is available / posted, it would be next below senior most officer available in that section / department who would be the member of Tender Committee.

3.11 Lowest Tender

The term 'lowest' means the lowest techno-commercially acceptable offer. In respect of sales contract, wherever the term lowest appears, the same to be read as 'highest'.

3.12 Proprietary Articles / OEM / Nomination

Administrative approval for Proprietary Articles, OEM, and nomination cases shall be dealt as per C&P procedure. Term Proprietary would include spares and services from Original Equipment Manufacturer including their authorized representative wherever referred in Delegation of Powers.

3.13 Emergency and Urgency

Separate powers have been delegated under emergency. Emergency refers to cases of natural calamity, burst in pipelines, explosion, fire, operational emergency or repair requirements necessitated during annual plant shutdown, break-down of system, flood, earthquake; thereby endangering pipelines, plant, property and lives. Care should be taken for not mistaking urgent requirements with emergent requirements. For example, expenditure on laying / construction of road for an impending visit of a dignitary can only be classified as urgency and not emergency.



3.14 Distinguished Guests

Distinguished guests refers to both Indian and foreign delegations and also parties from the press and other media who are considered important from company's point of view and are invitees or paying visits to company at any of its location in connection with its business opportunities.

3.15 Technology/ Technology Transfer

Purchase of Technology / Technology transfer refers to flow of products, processes and related findings resulting from R&D work outside the organization.

3.16 Basis of value for "Works/ Purchases" etc.

The values indicated in the DoP relate to administrative approval values as well as order value on FOB/ CIF/ FOR/ EX-WORKS/ FOT etc. basis excluding statutory taxes, duties and levies as part of terms and conditions of the proposal.

3.17 New Definitions

- i. In DoP, the terms Contract, Order, Agreement are synonymous/inter-changeable.
- ii. The terms Natural Gas, Hydrocarbon, Petrochemicals, other products includes the following but is not limited by this:
 - **Natural Gas:** Natural Gas, LNG, RLNG, PNG, CNG, Biogas, Compressed Bio Gas, Synthetic Natural Gas etc.
 - **Hydrocarbon:** Ethane, LPG, Propane, Pentane, Naphtha, Paraxylene, C-4 Mix, Butane, all other LHC Products etc.
 - **Petrochemicals:** LLDPE, HDPE, PTA, PP, PET, and their by-products etc.
 - **Others Products/ By Products:** Hydrogen, Ethanol, Biofuel, IPA, Butene-1, Chemicals, electricity and by products viz: hydrogen, CO₂ etc.
- iii. Services includes Natural Gas Transmission, LPG Transmission, Regasification, Liquification, and/or Compression, Hooking-up connectivity, Interconnection, Tie-in connectivity, Telecom, Gas Storage, Shipping, Steam Conversion, Meter proving and other related services etc.
- iv. **PoC:** Proof of concept (PoC) is a realisation of a certain concepts/theories /ideas on technical/commercial /business aspects in order to demonstrate its feasibility.

New Technologies (emerging one or with Proven Track Record elsewhere), which are perceived to be beneficial to GAIL are tested by way of trial or Proof of Concept (PoC). Upon successful trial/testing at one place, the technology may be considered for adoption in GAIL on PAN India basis. Objective of PoC is to try, develop and customize new or emerging technologies for the improvement / automation etc. in all the business areas of GAIL.

- v. **R&D:** R&D activities comprise of creative and systematic work undertaken in order to increase the stock of knowledge through Basic, Applied and Developmental research works at Lab, Bench, Pilot and Demo Scale and devise new application of available knowledge. It also includes activities involving field innovation, developmental and technology upgradation/modernization works for producing new products, developing new services, systems or processes or to improve existing products, services, systems or processes.



Chapter 4

Powers of Chairman and Managing Director

The C&MD as Chief Executive Officer of the organisation shall exercise full powers of the Board in all matters other than item 4.1 to 4.10 below, which require approval of the Board or any sub-committee of the board as the case may be.

4.1 Strategic Issues

- 4.1.1 - Strategic Planning, strategic alliances, joint ventures, acquisitions/mergers, Memorandum of Understanding (MoU) / Principles of Cooperation (POC)/ Summary of Understanding (SoU) except 4.18 and 4.19.
- engagement of foreigners as employees of the organization.

4.1.2 Globalization through business participation in a foreign country and opening of offices abroad.

4.1.3 Diversification in new business areas/activities.

4.1.4 Organizational re-structuring.

4.1.5 To obtain by purchase or through other arrangements, technology and/or technical know-how.

4.2 Plans/Budget

4.2.1 Long term/annual plans and capital and revenue budget estimates.

4.2.2 Expenditure exceeding 10% of the approved budget.

4.2.3 Expenditure exceeding 10% of the approved project/ scheme.

Note: Board in its 275th meeting decided that minor alterations in the main route/addition of spurlines to revise scope of work of project(s) to the extent of 10% of its length and within 10% of additional approved project cost be implemented by functional management.

4.3 Capital Investments in Projects

4.3.1 Policy Guidelines for Capital Investments in Projects and approval of new projects, expansion schemes, modifications, R&D Projects exceeding Rs. 100 crores.

4.3.2 Administrative approval exceeding Rs. 10 crores on a capital/ revenue item or a scheme, not included in the approved budget of the year with a cumulative of Rs. 40 crores in a year (including such schemes approved by functional directors within their powers).

4.3.3 Purchase of land/buildings for any purpose e.g. projects, townships, offices etc. in each case exceeding Rs. 100 crore.

4.3.4 Pre-feasibility expenses and expenses on business related studies over Rs. 10 crore in each case.



Note: Board in its 253rd meeting decided to take up first stage activities listed below to reduce the project implementation time, for projects where Expression of Interest has been granted by MoP&NG/ Regulator:

- Preparation of Detailed Feasibility Report (DFR) including Environment Management Plan (EMP) & Rapid Risk Assessment (RRA)
- Financial Appraisal of the project
- Start of pre-project activities which cover detailed route survey, geo-feasibility surveys, soil investigations, ROU acquisition, obtaining various statutory permissions for crossings, environment clearances etc. and
- Tendering for appointment of PMC and bringing it upto award stage so that PMC package can be awarded after project approval.

The expenditure will be subject to a limit of Rs.10 crores for each project upto 500 km and Rs.20 crores for each project more than 500 km in length.

Board in its 269th meeting decided that for obtaining PNGRB authorization for laying/building/upgrading/operating a pipeline system, approval of the Board be and is hereby accorded for authorizing Chairman & Managing Director (C&MD) of GAIL for approval of :

- i. Submission of expression of interest (EOI) for the proposed pipeline projects of category less than or equal to 250 Km. with required registration fees to PNGRB after reasonable certainty for gas demand and source.
- ii. Expenses towards preparation of DFR, EMP/RRA, Survey, Topographical/Hydrological details collection etc. under this clause.
- iii. Submission of Bid along with required fees/bid bond to PNGRB for pipeline length less than or equal to 250 Km. after the due diligence in house for gas demand and availability.
- iv. To accord administrative approval over Rs. 20 crores in each case for business and market development schemes including market seeding, developing alternate fuels/new products and services/pilot pricing schemes/financing schemes/ interest subvention schemes, setting up pilot plants, financial appraisal & other studies etc. w.r.t. above.

4.4 Works and Purchases including Stores and Spares

(The powers of the Board relating to works and purchase given below should be read in conjunction with the powers of ECPC detailed in chapter 7 of this manual)

4.4.1 Works – Acceptance of Tenders/ Quotation

		Above (Rs. in Lacs)
(a)	When more than one valid tenders are received and lowest techno commercially acceptable tender is considered for award	5000
(b)	When only single tender is received	2500



(c)	Extension of scope of existing works contract ¹ with no change in terms and conditions and/or approval of extra (new) items and/ or Substituted Items and/ or AHR items (beyond SOR Qty.) for (reasons to be recorded in writing):	
	(i) Contracts awarded within own powers	20% of the Contract Value
	(ii) Contracts awarded beyond own powers	20% of original value subject to a ceiling of Rs.2500 lacs
(d)	Award of contracts without calling for tenders (reasons to be recorded in writing) / or on single tender / nomination basis	250
(e)	Powers to waive liquidated damages in case of delays in execution of contracts where the liquidated damages are recoverable as per contract (reasons to be recorded in writing)	250

4.4.2 Purchase – Acceptance of Tenders/ Quotation

		Above (Rs. in Lacs)
(a)	When more than one valid tenders are received and the lowest techno-commercially acceptable tender is considered for placement of order	5000
(b)	When only single tender is received	2500
(c)	Repeat orders when there is no change in rates, terms and conditions & subject to procedure given in C&P manual and for the same project/ same job	2500 subject to ceiling of 50% of original order quantity
(d)	Placement of order without calling for tenders (reasons to be recorded in writing) / or on single tender / nomination basis	250
(e)	Acceptance of quotations without calling for tenders for	
	(1) Proprietary items	5000

¹ Powers for extension of scope of existing contracts are concurrent powers to be exercised as per ceilings specified under DoP for various levels of Competent Authority and not in a manner that each level would exercise as limit e.g. if a case is put up to C&MD the values indicated hereunder are to be read as overall ceiling inclusive of approvals already taken at below board level executives/ Functional Director.



	(2) Surplus material and equipment/ material lying in stock from other public sector undertakings to meet exigencies of projects/operations & maintenance	2500
	(3) Placing trial orders for R&D including development of alternative sources	375
	(4) Placing orders for procurement of goods for Business and Market Development schemes including market seeding, developing alternate fuels/new products and services/pilot pricing schemes/financing schemes/ interest subvention schemes, setting up pilot plants etc.(in each case)	2000
(f)	Powers to waive liquidated damages in case of delays in execution of contracts where the liquidated damages are recoverable as per contract (reasons to be recorded in writing)	250
(g)	Acceptance of tenders / quotations for procurement of Spares / Consumables / Chemicals / Catalysts required for Operation of Plant & Facilities among Pre Approved (GAIL / PMC / Licensor / OEM approved) vendors	5000

4.4.3 Consulting Services²– Acceptance of Tenders/ Quotation

		Above (Rs in Lacs)
(a)	When more than one valid tenders are received and lowest techno commercially acceptable tender is considered for award	2000
(b)	When only single tender is received	1000
(c)	Award of contracts without calling for tenders (reasons to be recorded in writing) / or on single tender /nomination basis	400
(d)	Extension of the Scope of an existing Consultancy contract with same terms & conditions and / or approval of Extra (new) job and/or substituted job and/ or AHR items (beyond SOR Qty.) (reasons to be recorded in writing)	50% of the original contract value subject to a ceiling of 1000

² Consulting Services includes all types of consulting services in the area of Technical, Financial, HR, PR, Legal, Management, Organisation etc.



4.4.4 Hiring of contract services³ - Acceptance of Tenders/ Quotation :

		Above (Rs in Lacs)
(a)	When more than one valid tenders are received and the lowest techno commercially acceptable tender is considered for award or when work is awarded to more than one bidder at the lowest rates accepted by such bidders	5000
(b)	When only single tender is received	2500
(c)	Award of service contracts without calling for tenders (reasons to be recorded in writing) or on single tender/ nomination basis	250
(d)	i) Extension of Scope and period of an existing service contract on the same terms and conditions and / or approval of Extra (new) Items and/ or Substituted Items and/ or AHR Items (beyond SOR Qty.) (reasons to be recorded in writing)	50% of the Contract Value subject to a ceiling of 2500
	ii) Extension of duration of Period Based Contracts	A period of one year
(e)	(i) Award of Service Contract on Proprietary Basis	500
	(ii) Award of contract for hiring of services for Business and Market Development schemes including market seeding, developing alternate fuels/new products and services/pilot pricing schemes/financing schemes/ interest subvention schemes, setting up pilot plants, financial appraisal & other studies etc. w.r.t. above. (in each case)	2000
(f)	i) Acceptance of tenders / quotations for procurement of services for Repair / Service / Overhaul of Critical Equipment and Machinery by OEM / OEM's Authorized Vendors / Maintenance Centres (as per GAIL O&M Policy & Guidelines), required for Operation of Plants & Facilities	5000
	ii) Extension of Scope and period of an existing service contract on the same terms and conditions and / or approval of Extra (new) Items and/ or Substituted Items and/ or AHR items (beyond SOR Qty.) (reasons to be recorded in writing)	50% of the Contract Value and/or Extension of duration of Period Based Contracts by a period exceeding one year, subject to a ceiling of 2500

³ Hiring of contract services includes, services for maintenance of plant and equipment, material handling, survey for O&M activities, annual operation & maintenance of computers, communication facilities, vehicles, insurance, banking and other financing related services, hiring of vehicles, cranes, equipment, facilities etc., hiring of services for courier, upkeep of office, upkeep of township, horticulture, canteen, other repair & maintenance contracts, event management, recruitment services, DGR sponsored security agencies and State Ex-Servicemen Corporations, PMC services and other contracts specifically not defined in DoP.



4.5 Disposal of scrap/ surplus material ⁴

		Above
	Acceptance of recommendations received for disposal pursuant to open/ limited tenders issued as per procedures	
(a)	when more than one valid tenders are received and the highest techno commercially acceptable tender is considered for sale order	Rs.2000 lacs
(b)	When only single bid is received against a tender	Rs.1000 lacs

4.6 Write off

4.6.1(a) Write-off of losses of any item of stores / equipment / plants / sale of scrap / surplus/ obsolete / unserviceable exceeding Rs.200 lacs in each case, amounts due to the company including advances etc. considered irrecoverable, and exceeding Rs.20 lacs in the event of theft, fraud or negligence.

4.6.1(b) Write-off Sundry Debtors, MGO & other Marketing Claims etc. exceeding Rs.200 lacs in each case, amounts due to the company including book debts, claims recoverable and advances etc. considered irrecoverable.

4.6.1(c) Write-off of any item of CWIP including Pre-Project Expenditures, Non-Performing Assets, Dry well expenditure, other claims etc. exceeding Rs.500 lacs in each case. As per procedure defined in SOP.

4.6.2 Shortage of cash exceeding Rs. 20,000 in each case.

4.7 Other Revenue Expenditure

4.7.1 Any revenue expenditure on subjects that have not been recognized as objects of expenditure by the company.

4.8 Claims and Waivals

4.8.1 Settlement of disputed claims

(a) outside the court of law/ arbitration having financial impact exceeding Rs. 100 lacs in each case.

(b) if awarded against/ in favour of company by Arbitral proceeding/ court exceeding Rs. 2000 lacs in each case.

⁴ These powers are to be exercised in conjunction with powers for write off of material. In cases where the realisable value of material is lower than the book value of material and accordingly write off would be required, in such cases the powers for disposal would need to be exercised in conjunction with write off powers. In cases where prior approval has been taken from the competent authority for write off, then the disposal relating to such material may be exercised using the powers given above.



4.8.2 Settlement of claims in favour of any party other than company employees arising from any cause exceeding Rs. 10 lacs in each case.

4.8.3 Grant of compensation to any party other than company employees arising from any cause, exceeding Rs.10 lacs in each case.

4.9 **HR**

4.9.1 Framing of Rules and Regulations and changes therein relating to recruitment, promotion and conditions of service of employees of the Company.

4.9.2 Changes in any pay structure and emoluments of employees.

4.9.3 Acceptance of resignation for which he/she is not the appointing authority.

4.9.4 Amendments in Conduct, Discipline and Appeal rules.

4.9.5 Approval for VRS Scheme.

4.9.6 Approval of any scheme which allows retention / appointment of any person who has attained the age of 58 years or retention in service of any person beyond the superannuation age.

4.10 **General**

4.10.1 To sponsor schemes/programmes of external agencies (eg. Educational, technical and academic symposia/seminars/sports/cultural events etc.) within budget allocation in excess of Rs. 30 lacs in each case in accordance with the policy guidelines.

4.10.2 Ex-gratia payments to company employees, not arising from approved policy or rules, exceeding Rs.2 lacs in each case.

4.10.3 In the following matters, certain procedural restrictions are imposed on the Board of Directors by the Companies Act. All such matters, therefore, will be placed before the Board/AGM for procedural requirements of the Act.

4.10.3.1 To sell, lease or otherwise dispose of the whole or substantially the whole of the undertaking of the company.

4.10.3.2 To remit or give time for the repayment of any debt due by a director.

4.10.3.3 To grant donation subject to the provisions of the Companies Act.

4.10.4 Expenditure of whatsoever nature incurred in connection with medical treatment and not covered under rules [including approval for hiring of air ambulance in emergent cases (preferably from empanelled hospitals)] exceeding Rs. 20 Lacs in each case.

4.10.5 Ex-gratia payments to non employees exceeding Rs.5 lac in each case, subject to overall ceiling of Rs.1 crore p.a. in case of casualty, injury to life and limb and loss of property and any other loss.



- 4.10.6 The contracts in which directors are interested.
- 4.10.7 In case of natural calamity where State Government is sanctioned aid by the Central Government, an aid of more than Rs. 20 lacs on each occasion for contributing to Chief Minister's Relief fund and contribution to the Prime Minister Relief Fund above Rs. 20 lacs. Contributions below Rs.20 lacs in each case exceeding annual ceiling of Rs.2 crore. Donation in other cases exceeding Rs.2 lac in each case.
- 4.10.8 The sale or alienation in any form of any immovable property vested in the company other than considered under approved schemes exceeding Rs 1 Crore in each case.
- 4.10.9 To give award to employee for exemplary services/approved scheme/meritorious work exceeding Rs.1 lac in each case other than existing scheme.
- 4.11 Subject to the provisions of the Companies Act, the Memorandum of Association and the Articles of Association in between the two Board meetings the C&MD may within the ambit of immediate necessity assume full powers of the Board. Such proposal approved by C&MD shall be put up for information in next Board meeting held after such approval.
- 4.12 The powers relating to Works and Purchase including Stores & Spares etc. falling within the powers of C&MD shall be exercised in concurrence with Director (Finance) and concerned Director.
- 4.13 While exercising these powers, Director (Finance) will be consulted in all cases, except for items where concurrence of Finance is not prescribed, as per provisions in the Delegation of Powers. Subject to the provisions of the Companies Act, Memorandum of Association and Articles of Association, in all matters involving financial implications the authority and responsibility for taking a final decision will be that of the C&MD.
- 4.14 Powers pertaining to HR will be exercised by C&MD in consultation with Director (HR).
- 4.15 C&MD in the whole-time employment of the company may sub-delegate in the interest of the work of the company any of the powers, for the time being vested in him to any of the executives of the company by a written formal order with a copy to the Company Secretary. However, this is subject to the ultimate control and authority being retained by him/her including the authority to revoke, withdraw, alter or vary all or any of these sub- delegation.
- 4.16 Wherever, considered necessary, in individual cases, special enhanced delegation of authority may be allowed by the C&MD - in consultation with Director concerned and Director (Finance) to officers by name when they are assigned duties and responsibilities normally discharged by senior officers/or of a special nature.
- 4.17 Authorizing a PSU, who is providing consultancy services to GAIL, for an amount upto Rs. 10 crores in appropriate cases for procurement of goods/ services/ works of GAIL's Projects by way of issuance of Power of Attorney (PoA) etc.
- 4.18 Approval/ Modifications/ amendments (including full powers for time extensions of the same) of non-binding Memorandum of Understanding (MoU) / Principles of Cooperation (POC)/ Summary of Understanding (SOU)/ Framework Agreement (FA); Heads of Agreement (HoA) or any other document(s) of similar nature, which do not have any financial commitment:



- a) that are in existing line of business or
 - b) which are to be signed with Central Government (excluding MoU between GAIL and MoP&NG)/ State Governments/ CPSEs/ State PSEs/ Government agencies/ Autonomous bodies.
- 4.19 Modifications / amendments which do not involve any additional financial implication (including full powers for time extensions), in the approved/ signed agreements including MoU/ POC/ SoU/ HoA/ FA or any other document(s) of similar nature earlier approved by the Board/ Sub-committee of the Board.
- 4.20 Submission of response to Expression of Interest (EoI) for pursuing business opportunity / supply of commodity for the cases where the EOI is binding or requires financial implication upto Rs 100 crore.
- 4.21 Non subscribing to take further investments through Rights Issue of Securities such as Compulsory Convertible Debentures (CCDs), Warrants, etc. in a JV, C&MD is authorized to approve the proposal. The same may be put up to the Board for information, at a later stage. However, while declining, the reasons for decline be recorded in such proposal.
- 4.22 Grant of Rewards /Incentives for outstanding performance in In-house cultural events/sports activities etc. The proposal shall be routed through HR. For individual performance –upto Rs. 10,000/- and Annual ceiling – Rs.10.00 Lacs (including employees and their families and other performers).
- 4.23 Full powers to accord administrative approval for hiring of charter aircraft/helicopter to meet business/emergent requirement for deployment exceeding 05 days.



Chapter 5

Powers of Functional Directors

Functional Directors while exercising delegated powers should keep in mind that:

- i. The exercise of powers would be in respect of administrative and financial matters relating to their spheres of responsibilities.
- ii. These shall not exceed or infringe upon powers available to the Board/ sub-committee of the Board/C&MD /other Directors of the Board, who are specifically responsible for certain functions.
- iii. The power relating to HR will be exercised in consultation with Director (HR)/Head of HR Department in the regions and in accordance with the recruitment and promotion rules and within the framework of the organisation chart/HR budget as approved by the Board.
- iv. All powers for award of works/purchase contracts etc. shall be exercised after receipt of recommendations of duly constituted committees (except wherever specified otherwise) and after following duly approved works contract/purchase procedure.
- v. While exercising these powers, Head of Finance Department at Corporate Office / in the regions/site offices shall be consulted in all cases except for items where concurrence of Finance is not prescribed in the Schedule of delegated powers.
- vi. Directors will have full administrative powers for administration of contracts including implementation of arbitration/ courts award relating to sales/ purchase / works /consultancy and other services including deviation to the terms and conditions of contracts awarded unless specifically restricted.

5.1 Capital/ Revenue expenditure

- 5.1.1 Approval of new projects, expansion schemes, modifications, R&D Projects upto Rs.50 crores.
- 5.1.2 Administrative approval upto Rs.2 crores on a capital/revenue item or a scheme, not included in the approved budget of the year, subject to Rs. 10 crores in a year and overall ceiling of Rs. 40 crores as defined at 4.3.2 in C&MD's powers.
- 5.1.3 Purchase of land in each case up to Rs. 1500 lacs and full powers for acquisition through Government for approved projects for permanent project installations.
- 5.1.4 (a) Pre-feasibility expenses and expenses on business related studies up to Rs. 5 crores in each case.
(b) To accord administrative approval upto Rs. 10 crores in each case for business and market development schemes including market seeding, developing alternate fuels/new products and services/pilot pricing schemes/financing schemes/ interest subvention schemes, setting up pilot plants, financial appraisal & other studies, etc. w.r.t. above.
- 5.1.5 Administrative approval of capital/revenue expenditure on item / scheme which is a part of an approved budget.
- 5.1.6 Approval for change in scope of work upto 10% of the project cost, which has originally been approved by C&MD. Approval for change in scope of work for an original scheme



approved by Director upto 10% provided the revised cost does not exceed Rs. 50 crores.

- 5.1.7 Full powers to sanction detailed estimates for execution of work and / or incur expenditure of approved project/scheme
- 5.1.8 Director will have full powers to re-appropriate budget provisions within the directorate. Further, Director will have full powers to sanction re-appropriation within the Board Approved Project Costs under different heads of expenditure.
- 5.1.9 Full powers to concerned Functional Director to accord administrative approval for hiring of charter aircraft/helicopter to meet business/emergent requirement for deployment not exceeding 5 days.

5.2 Works and Purchases including Stores and Spares

5.2.1 Works – Acceptance of Tenders/ Quotation

		Upto (Rs in Lacs)
(a)	When more than one valid tenders are received and lowest techno commercially acceptable tender is considered for award	5000
(b)	When only single tender is received	2500
(c)	Extension of scope of existing works contract ¹ with no change in terms and conditions and/or approval of extra (new) items and/or Substituted Items and/ or AHR items (beyond SOR Qty.) for (reasons to be recorded in writing):	
	(i) Contracts awarded within own powers	20% of the Contract Value
	(ii) Contracts awarded beyond own powers	20% of original contract value subject to a ceiling of Rs. 2500 lacs
(d)	Award of contracts without calling for tenders (reasons to be recorded in writing)/ or on single tender /nomination basis	250
(e)	Powers to waive liquidated damages in case of delays in execution of contracts where the liquidated damages are recoverable as per contract (reasons to be recorded in writing)	250

5.2.2 Purchase – Acceptance of Tenders/ Quotation

		Upto (Rs in Lacs)
(a)	When more than one valid tenders are received and the lowest techno-commercially acceptable tender is considered for placement of order	5000
(b)	When only single tender is received	2500

¹ Powers for extension of scope of existing contracts are concurrent powers to be exercised as per ceilings specified under DoP for various levels of Competent Authority and not in a manner that each level would exercise as limit e.g. if a case is put up to Functional Director, the values indicated hereunder are to be read as overall ceiling inclusive of approvals already taken at below Board level executives.

(c)	Repeat orders when there is no change in rates, terms and conditions & subject to procedure given in C&P manual and for the same project/ same job	50% of original order quantity subject to a ceiling of repeat order value upto Rs. 2500 lacs
(d)	Placement of order without calling for tenders (reasons to be recorded in writing) / or on single tender / nomination basis	250
(e)	Acceptance of quotations without calling for tenders for	
	(i) Proprietary items	5000
	(ii) Surplus material and equipment/ material lying in stock from other public sector undertakings to meet exigencies of projects/ operations & maintenance	2500
	(iii) Placing trial orders for R&D including development of alternative sources	375
	(iv) Placing orders for procurement of goods for Business and Market Development schemes including market seeding, developing alternate fuels/new products and services/pilot pricing schemes/financing schemes/ interest subvention schemes, setting up pilot plants, etc.	1000
(f)	Powers to waive liquidated damages in case of delays in execution of contracts where the liquidated damages are recoverable as per contract (reasons to be recorded in writing)	250
(g)	Acceptance of tenders / quotations for procurement of Spares / Consumables / Chemicals / Catalysts required for operation of Plant & Facilities among Pre Approved (GAIL / PMC / Licensor / OEM approved) vendors	5000

5.2.3 Consulting Services²– Acceptance of Tenders/ Quotation

		Upto (Rs in Lacs)
(a)	when more than one valid tenders are received and the lowest techno commercially acceptable tender is considered for award	2000
(b)	When only single tender is received	1000
(c)	Award of Contracts without calling for tenders (reasons to be recorded in writing)/ or on Single tender/ Nomination Basis	400
(d)	Extension of the Scope of an existing Consultancy contract ² with same terms & conditions and / or approval of Extra (new) job and/or substituted jobs and/ or AHR items (beyond SOR Qty.) (reasons to be recorded in writing).	50% of the original contract value subject to a ceiling of 1000
(e)	Award of Contracts for R&D Projects * *Projects recommended by Research Advisory Committee shall not be treated as nomination as they are duly evaluated on quality parameters.	1000

² Consulting Services includes all types of consulting services in the area of Technical, Financial, HR, PR, Legal, Management, Organisation etc.



5.2.4 Hiring of contract services³ - Acceptance of Tenders/Quotation

		Upto (Rs in Lacs)
(a)	when more than one valid tenders are received and the lowest techno commercially acceptable tender is considered for award or when work is awarded to more than one bidder at the lowest rates accepted by such bidders	5000
(b)	When only single tender is received	2500
(c)	Award of service contracts without calling for tenders (reasons to be recorded in writing)/ or on single tender/nomination basis	250
(d)	Extension of Scope and period of an existing service contract on the same terms and conditions and / or approval of Extra (New) Items and/ or Substituted Items and/ or AHR items (beyond SOR Qty.) (reasons to be recorded in writing): Note: Extension of contract period of Period Based Contracts shall be maximum for a period of one year.	
	a) Contract awarded within own power:	50% of the Contract value
	b) Contract awarded beyond own powers:	50% of the Contract value subject to a ceiling of 2500
(e)	(i) Award of service contract on proprietary basis	500
	(ii) Award of contract for hiring of services for Business and Market Development schemes including market seeding, developing alternate fuels/new products and services/pilot pricing schemes/financing schemes/ interest subvention schemes, setting up pilot plants, financial appraisal & other studies, etc. w.r.t. above	1000
(f)	i) Acceptance of tenders / quotations for procurement of services for Repair / Service / Overhaul of Critical Equipment and Machinery by OEM / OEM's Authorized Vendors / Maintenance Centres (as per GAIL O&M Policy & Guidelines), required for Operation of Plants & Facilities	5000
	ii) Extension of Scope and period of an existing service contract on the same terms and conditions and / or approval of Extra (New) Items and/ or Substituted Items and/ or AHR items (beyond SOR Qty.) (reasons to be recorded in writing) Note: Extension of contract period of Period Based Contracts shall be maximum for a period of one year.	

³ Hiring of contract services includes, services for maintenance of plant and equipment, material handling, survey for O&M activities, annual operation & maintenance of computers, communication facilities, vehicles, insurance, banking and other financing related services, hiring of vehicles, cranes, equipment, facilities etc., hiring of services for courier, upkeep of office, upkeep of township, horticulture, canteen, other repair & maintenance contracts, event management, recruitment services, DGR sponsored security agencies and State Ex-Servicemen Corporations, PMC services and other contracts specifically not defined in DoP.



	a. Contract awarded within own power:	50% of the Contract value
	b. Contract awarded beyond own powers:	50% of the Contract value subject to a ceiling of 2500

5.3 Disposal of scrap/ surplus material⁴

		Upto (Rs in Lacs)
(a)	Identification and to declare Stores/ Materials lying in Inventory as surplus and approval to initiate disposal action	Full Powers
(b)	Acceptance of recommendations received for disposal of scrap/ surplus material pursuant to open/ limited tenders issued as per procedures when more than one valid tenders are received and highest techno-commercially acceptable tender is considered for sale orders	2000
(c)	When only single bid is received against a tender	1000
(d)	Sale of surplus material to GAIL's JVs and PSUs on nomination basis: (subject to meeting regulatory/ statutory norms)	200
(e)	Sale of surplus material to GAIL's subsidiaries on nomination basis: (subject to meeting regulatory/ statutory norms)	800
(f)	Sale of surplus material to consumers/ contractors (for usage in GAIL's contract) (valid reasons to be recorded in writing)	200

5.4 Write Offs

- 5.4.1(a) Write-off of losses of any item of stores / equipment / plants / sale of scrap / surplus/ obsolete / unserviceable materials upto Rs. 160 lacs in each case, amounts due to the company including advances etc. considered irrecoverable, and upto Rs. 16 lacs in the event of theft, fraud or negligence.
- 5.4.1(b) Write- off Sundry Debtors , MGO & other Marketing Claims etc. upto Rs. 160 lacs in each case, amounts due to the company including book debts, claims recoverable and advances etc. considered irrecoverable.
- 5.4.1(c) Write- off of any item of CWIP including Pre-Project Expenditures, Non-Performing Assets, Dry well expenditure/ other claims, etc. upto Rs. 100 lacs in each case. As per procedure defined in SOP.

5.4.2 Shortage of cash upto Rs. 16,000 in each case.

⁴ These powers are to be exercised in conjunction with powers for write off of material. In cases where the realisable value of material is lower than the book value of material and accordingly write off would be required, in such cases the powers for disposal would need to be exercised in conjunction with write off powers. In cases where prior approval has been taken from the competent authority for write off, then the disposal relating to such material may be exercised using the powers given above.



5.5 Claims and Waivals

5.5.1 Settlement of disputed claims

- a) outside the court of law/ arbitration having financial impact upto Rs.80 lacs in each case.
- b) if awarded against/ in favour of the company by Arbitral proceeding/ court upto Rs. 1600 lacs in each case.

5.5.2 Settlement of claims in favour of any party, other than company employees arising from any cause upto Rs. 8 lacs in each case

5.5.3 Grant of compensation to any party other than company employees arising from any cause upto Rs. 8 lacs in each case.

5.6 HR (The following powers to be exercised for staff/ officers upto E6 level for which the Director is appointing authority)

5.6.1 Selection/appointment/promotion to approved posts on the advice of the appropriate selection committee.

5.6.2 Acceptance of resignation of officers

5.6.3 Termination of services in accordance with terms of appointment

5.6.4 Transfer of officers / staff and declare HQ of employees. Inter unit transfer to be undertaken with the concurrence of the Corporate HR.

5.6.5 Grant of rewards/incentives to company employees in accordance with approved scheme

5.6.6 Sanction of posts for grade S0 to S7

5.6.7 Extension of joining time for executives for fresh appointments upto E6 level

5.6.8 Probation clearance / extension

5.6.9 Deputation / Lien

5.6.10 Increments where withheld

5.6.11 Grant of increments on appointment by way of incentive (upto a maximum of 5 increments / pay protection).

5.7 Sale / Services⁵

5.7.1 Full powers for approval of sales/purchase contracts for natural gas, LPG and other products

5.7.2 Full powers to accept and sign contracts including terms and conditions for sale of products and services and administration of the same

5.7.3 Full powers for approval/acceptance of transmission charges relating to natural gas, LPG and other products⁵. These powers are to be exercised in accordance with any rules / regulations / guidelines that may be issued from time to time.

⁵ These powers are to be exercised in accordance with any rules / regulations / guidelines that may be issued from time to time.



- 5.7.4 Full powers for accepting/approving deviations from standard terms and conditions for purchase/sale of natural gas, LPG and other products.
- 5.7.5 Full powers to define / amend commercial procedures relating to the sale of hydrocarbon/petrochemical and other products.
- 5.7.6 Full powers for appointing consignment stockist, including power with respect of formulation and administration of policies with respect to the stockist
- 5.7.7 Full powers for recommending / revising gas allocations to the government for different consumers, for gas linkages under administered pricing mechanism
- 5.7.8 Full powers for selection of a consumer in case of gas sales through Market Determined Pricing Mechanism (MDPM)
- 5.7.9 Full powers for selection of a source of gas through MDPM including formulation of policy guidelines/ methodology for determining purchase price and terms and conditions
- 5.7.10 Full powers for pricing and approving discount schemes of hydrocarbon/petrochemical products with respect to domestic prices, export prices and deemed export prices
- 5.7.11 Full powers for formation of consortiums / un-incorporated joint ventures for the purpose of bidding for contracts
- 5.7.12 Full powers for submission of earnest money deposits as part of a bidding requirements for contracts
- 5.7.13 Full powers to address customer complaints/needs relating to sale/purchase of natural gas, LPG and other products and issues such as taking back damaged material, reimbursement of sales tax / turnover tax where applicable, downgradation of material at stock point, new application development, free samples etc.

5.8 General

- 5.8.1 To sponsor schemes/programmes of external agencies (e.g. Educational, Technical and Academic Symposia/ Seminars/ Sports/Cultural Events etc.) within budget allocation upto Rs. 24 lacs in each case in accordance with policy guidelines.
- 5.8.2 Ex-gratia payment to company employees not arising from approved policy or rules upto Rs. 160,000 in each case.
- 5.8.3 Donations of upto Rs. 160,000 in each case within the approved budget allocation.
- 5.8.4 Powers to Director (HR) to approve expenditure of whatsoever nature incurred in connection with medical treatment and not covered under rules [including approval for hiring of air ambulance in emergent cases (preferably from empaneled hospitals)] upto Rs. 10 Lacs in each case.
- 5.8.5 Full powers to fix norms of rent of quarters, lands, buildings etc. belonging to the organization for hiring out to outside parties.
- 5.8.6 Hiring of:
 - a) buildings (office and residential) for rental upto Rs. 20 lacs per month in Class 'X' cities and upto Rs 10 lacs per month at other locations in each case and advance rental payment for buildings upto Rs. 100 lacs (full powers for advance payment to Govt., Semi-Govt., Public Sector Undertakings, local bodies etc.)
 - b) Warehouse and Dump Sites upto Rs.10 lacs per month in each case
 - c) Full powers for central and state government warehouses
- 5.8.7 Full powers for incurring advertising expenditure as per approved budget



- 5.8.8 Expenditure on publicity / souvenir schemes within budget allocations costing upto Rs. 20 lacs in each case.
- 5.8.9 Expenditure within budget allocations upto Rs. 40 lacs in each case on ceremonial occasions
- 5.8.10 Full powers to approve statutory penal payments
- 5.8.11 Full powers to incur expenditure in case of emergency
- 5.8.12 Full powers to sanction contingent expenditure, legal expenses, professional service charges, demurrage, wharfage, hiring of machinery, give or take against deposits material on loan etc.
- 5.8.13 Full powers to sanction deposits (refundable/non-refundable) with government/private agencies for undertaking approved works or for obtaining approvals.
- 5.8.14 Full powers for execution of instruments, deeds, leases and contracts except where affixing of seal of the company is required.
- 5.8.15 Full powers to institute, defend, compound and abandon legal / arbitration proceedings and execute power of attorney.
- 5.8.16 Full powers to sign vakalatnamas, mukhtarnamas, plaints, written statements and all other documents and papers in connection with cases in law courts or before tribunals / commission of enquiry on behalf of the company.
- 5.8.17 Full powers to refer any claim or demand against the company to arbitration/ litigation as per policy / rules in force.
- 5.8.18 Full power to accept surety bonds, mortgage deeds, hypothecation deeds and agreements from employees of the company in respect of advances, loans sanctioned to them and fidelity guarantees furnished by the company as per prescribed procedures.
- 5.8.19 To appoint arbitrator in line with the contract provisions, as per policy of the company.
- 5.8.20 Full powers to grant compensation to farmers / owners for right of use of land/right of use of asset for laying of pipelines, etc. as per agreement/as per Govt. procedure.
- 5.8.21 Full powers to waive submission of earnest money/security deposit in respect of works/purchases/consultancy and service contracts.
- 5.8.22 Full powers for forfeiture of earnest money/security deposit.
- 5.8.23 Full powers for refund of earnest money/security deposit as per rules.
- 5.8.24 Full Power to extend the completion dates of Contracts for Works, Consultancy and Purchase including Stores & Spares.
- 5.8.25 Full power to issue letters/telex of intent, work orders, purchase orders and to execute agreements after agreements have been accepted by the competent authority.
- 5.8.26 Full powers to approve and incur expenditure on revenue items incidental and related to company's business activities as per approved budget not specifically covered under the above items.
- 5.8.27 Full powers to provide relaxation beyond limit of telephone / cellphone reimbursements claim.
- 5.8.28 Full Powers for Hiring of Security Services through DGR Sponsored Security Agencies and State



Ex-Servicemen Corporations, as well as Hiring of Security Services for operations where DGR Sponsored Security Agencies and State Ex-Servicemen Corporations are not available in accordance with policy and guidelines approved by the Board from time to time.

- 5.8.29 Ex-gratia payments to non-employees upto Rs.2 lac in each case subject to overall ceiling of Rs.50 lac p.a. in case of casualty, injury to life and limb and loss of property and any other loss.
- 5.8.30 Inviting Expression of Interest (EoI) from parties and submission of response to EoI for pursuing business opportunity / supply of commodity provided that there are no financial implications.
- 5.8.31 Grant of Rewards /Incentives for outstanding performance in In-house cultural events/sports activities etc. For individual performance – Up to Rs. 4000/- Annual ceiling –Rs. 2 lacs. The proposal shall be routed through HR.
- 5.8.32 Full powers to Director (HR) to approve the periodical revision in employees' and employer's contribution in Employees Welfare Fund.
- 5.8.33 Full power to concerned Director for Hiring of Vehicles for regular and continuous use for a specified period and quantity with deployment schedule.

Chapter 6– Delegation of Powers below Board Level Executives

6.1 Works, Purchase, Consulting Services, Hiring of Contract Services and Disposal¹

6.1.1 Administrative Approval^{3A}

Rupees in Lacs

Sl. No.	Nature of powers	E9/(E8 as OIC)	E8	E7	E6	E5	E4	Remarks
i.	(a) Administrative approval for a capital item or a scheme, which is part of an approved budget/ scheme ²	2500	1500	if OIC 1000, else 500				
	(b) Approval of new projects, expansion schemes, modifications, for increasing operational efficiency and safety, which is part of the approved budget	400						
ii.	Power to sanction detailed estimates for execution of work / purchase and to incur expenditure in a project where cost estimates have been approved by the competent authority ³ .	Full powers	1000	500	200	100	40	

¹ At locations where the highest level of C&P executive is not above the level of E4, in such cases, such highest level C&P executives may exercise the powers of E4 (C&P).

² This power does not relate to approval of a new project/scheme for which approvals are required as per rules/ regulations/ policy etc. at Corporate Office only. In case revised estimate for any capital item or a scheme exceeds the approved cost by more than 10%, fresh approval of the competent authority shall be taken within their respective powers.

³ No separate approval of estimate would be required in case of project packages included in the feasibility report/ detailed feasibility report with estimates under different heads duly approved by the competent authority. However, administrative approval for any additional package(s) not covered/envisaged in DFR and/or as per Licensor design shall be obtained from the competent authority who has approved the project or Director whichever is lower.

^{3A} For Hiring of Contract Service: These are special powers to be exercised only when the expertise or the capacity is not available in-house.

iii.	To accord administrative approval to incur expenditure (including major spares/services/works required to be capitalized as per IND AS/relevant accounting standards) on operation and maintenance of plants and equipment, pipelines, facilities and also cases of revenue expenditure, if not specifically covered elsewhere, within approved budget.	Full powers	Full powers	if OIC Full powers, else 500	200	100	40	FC required in case beyond 5 for stores / spares and 3 others.
iv.	To accord administrative approval and to incur expenditure on heads not provided in the approved budget.	20* subject to annual ceiling of 100	10* subject to annual ceiling of 50	if OIC 5* subject to annual ceiling of 25				*within overall approved budget for the unit during the year.
v.	To accord administrative approval for Trial/Test Run for R&D including development of alternative sources and other R&D schemes or Proof of Concept (PoC).	100	75					in-principle approval of concerned Director



vi.	To accord administrative approval for Pre- feasibility expenses /undertaking Transaction Advisory Services including financial / technical / commercial studies for business development including M&A, with the in-principle approval of Concerned Director.	Upto 200 in each case Annual Ceiling 1000							
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6.1.2 Works

Rupees in Lacs

Sl. No.	Nature of powers	E 9 / (E8 as OIC)	E8	E7	E6	E5	E4	E3	Remarks
i.	Acceptance of Tenders								
	(a) When more than one valid tenders are received and the lowest techno commercially acceptable tender is considered for award	4000	2500	1250	500	250	100		
	(b) When only single techno commercially acceptable tender is received	2000	1250	625	250	125	50		
ii.	Extension of scope of existing works contracts with no change in terms and conditions; and/or approval of extra (new) items and/ or substituted items and/ or AHR items (beyond SOR Qty.) for contracts awarded within own powers (reasons to be recorded in writing)	Upto 20% of the contract value							
iii.	Extension of scope of existing works Contracts ⁴ with no change in terms and conditions; and / or approval of extra (new) items and/ or substituted items and/ or AHR items (beyond SOR Qty.) for contracts awarded beyond their own powers (reasons to be recorded in writing)	Upto 20% of the contract value, subject to ceiling as under (i) (b) above							



iv.	Award of contract without calling for tenders in case of emergency	Full powers	Full powers	if OIC Full powers					The R&D projects recommended by Research Advisory Committee shall not be treated as nomination as they are duly evaluated on quality parameters. PoC shall not be treated as nomination as they are duly evaluated on quality parameters.
v.	a) Award of contracts without calling for tenders (for reasons to be recorded in writing) or on single tender / nomination basis b) Placing trial orders for R&D/vendor development /PoC	200 250	125 200	if OIC 62.5					

⁴ Powers for extension of scope of existing contracts are concurrent powers to be exercised as per ceilings specified under DoP for various levels of competent authority and not in a manner that each level would exercise as limit e.g. if a case is put up to E9 /E8 (OIC) the values indicated hereunder are to be read as overall ceiling inclusive of approvals already taken at levels below within their respective powers, and so on.



Sl. No.	Nature of powers	E9/ E8 as OIC)	E8	E7	E6	E5	E4	E3	Remarks
vi.	Powers to waive submission of earnest money / security deposit	Full powers in respect of tenders expected to be awarded within their powers							FCNR
vii.	Payment of advance to suppliers/contractor as per contractual provisions	Full powers	Full powers	Full powers	Full powers	Full powers	Full powers		FCNR
viii.	Powers to extend completion date of contracts awarded	Full powers in respect of contracts awarded within their powers							Refer Note (f)
ix.	Powers for forfeiture of earnest money / security deposit as per terms of tenders / contract already approved	Full powers in respect of contracts awarded within their powers							
x.	Powers for refund/ adjustment of earnest money / security deposit as per rules and terms of tenders / contract already approved	Full powers							FCNR
xi.	Powers to terminate contracts awarded	Full powers in respect of contracts awarded within their powers							
xii.	To issue letters / fax of intent, work orders, purchase orders and to execute agreements after tenders have been accepted by the competent authority	Full powers upto E 1							FCNR
xiii.	Award of contract on deposit basis to department/ authorities/autonomous bodies of Central Government/State Government/ Municipal /Gram Panchayat/ PSUs	1000	500						



6.1.3 Purchase

Rupees in Lacs

Sl. No.	Nature of powers	E9/ (E8 as OIC)	E8	E7	E6	E5	E4	E3	Remarks
i.	Acceptance of Tenders								
	(a) When more than one valid tenders are received and the lowest techno commercially acceptable tender is considered for placement of order	4000	2500	1250	500	250	100		
	(b) When only single techno commercially acceptable tender is received	2000	1250	625	250	125	50		
iA.	Acceptance of tenders / quotations for procurement of Spares / Consumables / Chemicals / Catalysts required for operation of Plants & Facilities from Pre-Approved (GAIL / PMC / Licensor / OEM approved) vendors.								
	(a) On Proprietary Basis	4000	2500	1250	500	250	100		
	(b) When more than one valid tenders are received and the lowest techno-commercially acceptable tender is considered for placement of order	4000	2500	1250	500	250	100		
	(c) When only single techno-commercially acceptable tender is received	2000	1250	625	250	125	50		
ii.	Repeat order when there is no change in rates, terms and conditions and subject to procedure as per given in C&P manual	Upto 25% of the quantity given in original purchase order to be approved by original approving authority, subject to the total purchase order value remaining within limit as at (i) (a) above. In case, the total order value including the repeat order would cross limit as stated above, approval by next higher authority as per their defined limits would be required.							
iii.	Placement of order without calling for tenders in case of emergency	Full powers	Full powers	if OIC Full powers					
iv.	Placement of order without calling for tenders (reasons to be recorded in writing) or on single tender / nomination basis	200	125	if OIC 62.5					



Sl. No.	Nature of powers	E9/ (E8 as OIC)	E8	E7	E6	E5	E4	E3	Remarks
v.	Acceptance of quotations without calling for Tenders								
	(a) For proprietary items	4000	2500	1250	500	250	100		
	(b) For surplus material and equipment from other PSUs/JVs/Subsidiaries	2000	1250	625	250	125	50		
	(c) Placing trial orders for R&D/vendor development /PoC	250	187.5	93.75	18.75	9.375	3.75		
	(d) For Purchase from Governmental Co-Operative Commercial Outlets such as Kendriya Bhandar/ Khadi Udyog/Coir Board. Also from similar Designated Co-Operative Bodies / State Emporia of Government Departments / Central PSUs/State PSUs (without tendering, reasons to be recorded for saving time or otherwise)	200	125	62.5	25	12.5	5		
vi.	Powers to waive submission of earnest money / security deposit	Full powers in respect of tenders expected to be awarded within their powers							FCNR
vii.	Powers to extend completion date of contracts awarded	Full powers in respect of contracts awarded within their powers							Refer Note (f)
vii A	Power to extend existing Rate Contract (RC) subject to procedure defined in C&P Procedure	i) Awarded within own Powers	Up to 25% of original quantity, subject to ceiling of 25% of i(a) above, and/or maximum period of six months					Reasons and justifications for delay in taking timely action with in the timeline to be recorded and to be approved by one level above original approving authority	
		ii) Awarded beyond their own Powers	Up to 25% of original quantity, subject to ceiling as under i(b) above and/or maximum period of six months						
vii B	Extension of the scope of services/works under a purchase order with same terms & conditions; and / or approval of extra items (or new items) / substitute items (reasons to be recorded in writing) awarded within or beyond own powers	Only w.r.t. Services/Works Portion – Up to 25% of the Services/Works Portion, subject to ceiling of : E9/E8 (as OIC): 500 E8: 250 E7: 125 E6: 50							



viii.	Powers for forfeiture of earnest money / security deposit as per terms of tenders / contract already approved	Full powers in respect of contracts awarded within their powers							FCNR
ix.	Powers for refund/ adjustment of earnest money / security deposit as per rules and terms of tenders / contract already approved	Full powers					-		FCNR
x.	Powers to terminate contracts awarded	Full powers in respect of contracts awarded within their powers							-
xi.	Payment of advance to suppliers/ contractor as per contractual provisions	Full powers				-	-	-	FCNR
xii.	To issue letters / fax of intent, work orders, purchase orders and to execute agreements after tenders have been accepted by the competent authority	Full powers upto E 1							FCNR
xiii.	Award of contract on deposit basis to department/ authorities/ autonomous bodies of Central Government/ State Government/ Municipal /Gram Panchayat/ PSUs	1,000	5,00						

6.1.4 Consulting Services⁶

Rupees in Lacs

Sl. No.	Nature of powers	E9/ (E8 as OIC)	E8	E7	E6	E5	E4	E3	Remarks
i.	Award jobs of scientific/technical/commercial / financial / taxation/ market /professional study /evaluation to outside consultants ⁷								
	1. When more than one valid tender and the lowest techno commercially acceptable bid is considered for award	250	60 subject to annual ceiling of of 300	30 subject to annual ceiling of 150	if OIC 12.5 subject to annual ceiling of 62.5				
	2. When only single tender is received	50% of 1 above	50% of 1 above	50% of 1 above	50% of 1 above				
	3. Award of contracts without calling for tenders (reasons to be recorded in writing)/ or on single tender /nomination basis	10% of 1 above	10% of 1 above	if OIC 10% of 1 above					

⁶ Consulting services (which are not routine or repetitive in nature) are services of providing advice or opinion in particular areas of expertise, the deliverables of which are in the form of advice / reports / recommendations.

ii.	Awarding consulting services ⁷ and work for pre-feasibility / feasibility study, design and engineering of a project through open advertised/ limited tenders 1. When more than one valid tender and the lowest techno commercially acceptable bid is considered for award 2. When only single tender is received 3. Award of contracts without calling for tenders (reasons to be recorded in writing)/ or on single tender/nomination basis	500 250 125	300 150 75	150 75 25					
iii.	Extension of scope of existing consulting services contracts with no change in terms and conditions ⁴	Upto 50% of awarded value subject to the ceilings at (i) (2) or (ii) (2) above as the case may be							
iv.	Award of contract on deposit basis to department/ authorities/autonomous bodies of Central Government/State Government/ Municipal /Gram Panchayat/ PSUs	1,000	500						
v.	Powers to waive submission of earnest money / security deposit	Full powers in respect of tenders expected to be awarded within their powers						-	FCNR
vi.	Powers to extend completion date of contracts awarded	Full powers in respect contracts awarded within their powers						-	Refer Note (f)
vii.	Powers for forfeiture of earnest money / security deposit as per terms of tenders / contract already approved	Full powers in respect contracts awarded within their powers						-	



viii.	Powers for refund/ adjustment of earnest money / security deposit as per rules and terms of tenders / contract already approved	Full powers	-	FCNR
ix.	Powers to terminate contracts awarded	Full powers in respect contracts awarded within their powers	-	
x.	Payment of advance to consultant as per contractual provisions	Full powers	-	FCNR
xi.	To issue letters / fax of intent, work orders, purchase orders and to execute agreements after tenders have been accepted by the competent authority	Full powers up to E1		FCNR

⁷ Consulting services shall be in particular areas of expertise such as Production and Services Management (including technology , R&D, Project, Quality Control, Inspection), Financial, Accounting, Shareholders Services, HR & HRD (including Organizational effectiveness), Material Management, Inventory Management, Market Research, Corporate Strategy and Organizational development, PR ,Corporate Communication, Economic & Environmental Studies, Information Technology and Systems, Legal, Audit, Certification Work, Proof of Concept etc. and the deliverables of which are in the form of advice/reports/recommendations.



6.1.5 Hiring of Contract Services⁸

Rupees in Lacs

Sl. No.	Nature of powers	E9/ (E8 as OIC)	E8	E7	E6	E5	E4	E3	Remarks
i.	Hiring of contract services ⁹ ; includes, services for maintenance of plant and equipments, material handling, survey for O&M activities, annual operation & maintenance of computers, communication facilities, vehicles, insurance, banking and other financing related services, hiring of vehicles, cranes, equipments, facilities etc., hiring of services for courier, upkeep of office, upkeep of township, horticulture, canteen, other repair & maintenance contracts, event management, recruitment services, DGR sponsored security agencies and State Ex-servicemen Corporations & State Police/ State Police Corporations, PMC services and other contracts specifically not defined in DoP.								
	Acceptance of Tenders								
	(a) when more than one valid tenders are received and the lowest techno-commercially acceptable tender is considered for award or when work is awarded to more than one bidder at the lowest rates accepted by such bidders	4000	2500	1250*	500*	250*	100*		*Monthly report to be submitted to OIC
	(b) When only single techno commercially acceptable tender is received	2000	1250	625*	250*	125*	50*		
	(c)(i) Award of service contract without calling for tender (reasons to be recorded in writing) or on single tender / nomination basis	200	125	62.5					

⁸ 1 These powers include powers to make payment.

2 While hiring contracts services normal tender procedures laid down in the contract and purchase manual is to be adhered to.

⁹ Includes contract services from Original Equipment Manufacturers and services pertaining to the telecom business such as hiring of access services; hiring of ducts, fibres, bandwidth etc. from other service providers; and pooling of resources with other agencies for linkages, extension and expansion.



	(c)(ii) Placement of order without calling for tenders in case of emergency	Full powers	Full powers	if OIC Full powers				
	(c)(iii) Placing trial orders without calling for tenders for R&D/vendor development / PoC	250	200					
	(d) Award of service contract on proprietary basis	400	250	125*	50*	25*	10*	
	(e) Extension of the Scope and period of an existing service contract with same terms & conditions; and / or approval of extra (new) items and/ or substituted items and/ or AHR items (beyond SOR Qty.) (reasons to be recorded in writing), for contract							
	i) Awarded within own powers	Up to 25% of the contract value, subject to ceiling of 25% of i(a) above and total executed contract value is within the limit of 125% of contract value. Extension of duration of period based contracts (like AMC, ARC etc.) by a maximum period of one year. Extension of duration of non-period based contracts as per 6.1.5 (iv) below.						
	ii) Awarded beyond their own powers	Up to 25% of the contract value, subject to ceiling of 25% of i(b) above and total executed contract value is within the limit of 125% of contract value. Extension of duration of period based contracts (like AMC, ARC etc.) by a maximum period of one year as per 6.1.5 (iv) below subject to minimum E6. Extension of duration of non-period based contracts as per 6.1.5 (iv) below						
iA.	Acceptance of tenders / quotations for procurement of Repair / Overhaul services or other services of Critical Equipment, Machinery and Systems/Facilities by OEM / OEM's Authorized Vendors or Maintenance Centers (as per GAIL O&M Policy & Guidelines) required for Operation of Plants & Facilities							
	a) Award of service contract on proprietary basis	4000	2500	1250	500	250	100	



	b) When more than one valid tenders are received and the lowest techno-commercially acceptable tender is considered for award of order or when work is awarded to more than one bidder at the lowest rates accepted by such bidders	4000	2500	1250	500	250	100		
	c) When only single techno-commercially acceptable tender is received	4000	1250	625	250	125	50		
	d) Extension of the Scope and period of an existing service contract with same terms & conditions; and / or approval of extra (new) items and/ or substituted items and/ or AHR items (beyond SOR Qty.) (reasons to be recorded in writing), for contract								
	i. Awarded within own powers	Up to 25% of the contract value, subject to ceiling of 25% of iA(b) above and total executed contract value is within the limit of 125% of contract value. Extension of duration of period based contracts (like AMC, ARC etc.) by a maximum period of one year. Extension of duration of non-period based contracts as per 6.1.5 (iv) below.							
	ii. Awarded beyond their own powers	Up to 25% of the contract value, subject to ceiling of 25% of ia(c) above and total executed contract value is within the limit of 125% of contract value. Extension of duration of period based contracts (like AMC, ARC etc.) by a maximum period of one year as per 6.1.5 (iv) below subject to minimum E6. Extension of duration of non-period based contracts as per 6.1.5 (iv) below.							
ii.	Hiring of specialized services by expert / skilled personnel / specialized / expert agency (reasons to be recorded when tenders not invited) (per annum)	62.5	50	25					



iii.	Powers to waive submission of earnest money / security deposit	Full powers in respect of tenders to be awarded within their powers	-	FCNR
iv.	Powers to extend completion date of non-period based contracts awarded	Full powers in respect of contracts awarded within their powers	-	Refer Note (f)
v.	Powers for forfeiture of earnest money / security deposit as per terms of tenders / contract already approved-	Full powers in respect of contracts awarded within their powers	-	
vi.	Powers for refund/ adjustment of earnest money / security deposit as per rules and terms of tenders / contract already approved	Full powers	-	FCNR
vii.	Powers to terminate contracts awarded	Full powers in respect of contracts awarded within their powers	-	
viii.	Payment of advance to suppliers/contractors as per contractual provisions	Full powers	-	FCNR
ix.	To issue letters / fax of intent, work orders, purchase orders and to execute agreements after tenders have been accepted by the competent authority	Full powers up to E1		FCNR



6.1.6 Disposal of Scrap/ Surplus Material¹⁰

Rupees in Lacs

Sl. No.	Nature of powers	E9 / (E8 as OIC)	E8	E7	E6	E5	E4	E3	Remarks
i.	(a) Identification and to declare stores/materials lying in inventory as well as vehicles / machinery (including pulled out equipment) and other assets as surplus / unserviceable/ obsolete and approval to initiate disposal action Disposal shall be done as per policy / rules in force and value for the exercising the above DoP shall be Book Value	500	300	if OIC 100					In case of disposal of surplus stores, materials (good and usable condition) approval required from Director before disposal action.
	(b) To fix reserve price for disposal of scrap/ surplus / obsolete / unserviceable material	Full Powers	Full Powers	if OIC Full Power	-	-	-	-	
ii.	Acceptance of recommendations received for disposal of scrap/ surplus material pursuant to open/ limited tenders issued as per procedures when:								
	(a) more than one valid tenders are received and highest techno-commercially acceptable tender is considered for sale orders	1600	1000	500	200	100	40		
	(b) when only single bid is received against a tender	800	500	250	100	50	20		



	(c) Sale of surplus material directly to PSUs (including their subsidiaries) and GAIL JV/associate (subject to compliance of applicable related party transactions norms)	100	25	if OIC 12.5					
	(d) Sale of surplus material directly to GAIL subsidiaries (subject to compliance of applicable related party transactions norms)	400	250	if OIC 125					
	(e) Sale of surplus material to consumers/ contractors etc. in the interest of the organization (valid reasons to be recorded)	100							
	(f) Sale of miscellaneous scrap without calling for formal tender or on single /multiple offer basis through a three member committee nominated by competent authority (reasons to be recorded in writing and documentary evidence & photo of disposed items/materials to be kept in records) (per annum)	1	0.50	0.2					

¹⁰ These powers are to be exercised in conjunction with powers for write off of material. In cases where the realizable value of material is lower than the book value of material and accordingly write off would be required, in such cases the powers for disposal would need to be exercised in conjunction with write off powers. In cases where prior approval has been taken from the competent authority for write off, then the disposal relating to such material may be exercised using the powers given above.



Rupees in Lacs

Sl. No.	Nature of powers	E9/ E8 as OIC)	E8	E7	E6	E5	E4	E3	Remarks
iii	Powers for forfeiture of earnest money / security deposit as per terms of tenders / contracts already approved	Full Powers in respect of tenders expected to be awarded within their powers						-	
iv.	Powers to extend completion date of contracts awarded	Full Powers in respect of contracts awarded within their powers						-	Refer Note (f)
v	Valuation of materials/spares supplied by contractor, left over material of projects etc. where valuation of items to be done	Full powers	Full powers	if OIC Full powers					



6.2 Write-off, Claims and Waivals

Rupees in Lacs

Sl. No.	Nature of powers	E9/ (E8 as OIC)	E8	E7	E6	E5	E4	E3	Remarks
i.	To sanction write-off of losses in stores, stock, equipment, tools etc. on the basis of a report: - which is not due to theft, fraud or negligence - due to theft, fraud or negligence (on the basis of enquiry report)	100 10	60 6	if OIC 30 3					
ii.	a) Write off of amounts due to the company including book debts considered irrecoverable. To be identified by an inter-department committee comprising of personnel from at least finance and concerned department not below the level of E7. Report of such write-off to be sent to the concerned director at the end of each month	10	6	if OIC 3					
iii.	Settlement of disputed claims (in arbitration/ court proceedings), under legal or solicitor's advice, outside the court of law/arbitration for contracts awarded with their own powers	20	10	if OIC 5					
iv.	The settlement of claims in favour of any party, other than company employees arising from any cause	1	0.5	if OIC 0.2					
v.	The grant of compensation to any party other than company employees arising from any cause in each case.	1	0.5	if OIC 0.2					



6.3 Marketing/Purchase/ Sale / Service¹¹

Rupees in Lacs

Sl. No.	Nature of powers	E9/ (E8 as OIC)	E8	E7	E6	E5	E4	E3	Remarks
i.	To sign contracts including terms and conditions for sale / purchase of natural gas, LPG, petrochemical, other products and services as per approved procedure / policy	E9/E8/Zonal in charge - Full powers	Full powers	Full powers	if OIC Full powers				FCNR
ii.	Formation of consortiums / un-incorporated joint ventures for the purpose of bidding for contracts subject to policy guidelines issued from time to time	Full powers	Full powers						
iii.	To approve submission of earnest money deposits as part of a bidding requirements for contracts	Full powers	Full powers	Full powers	Full powers				
iv.	To address ¹² customer complaint / needs such as taking back w.r.t damaged / offspec material, reimbursement of Indirect taxes where applicable (Refund / Reimbursement of Statutory Taxes and Duties can be made after receipt of the same from Govt.), new application development, freight compensation as per policy, waste generation during complaint verification etc.	Full powers	Full powers	if OIC Full powers					These are to be exercised with reference to prevailing Customer Complaint Handling Policy/ Sales Policy.
v.	Administration of contract for Natural Gas, Hydrocarbon, Petrochemical and Other Products /Services including extension, recovery of dues etc.	Full powers	Full powers	if OIC Full powers	if OIC Full powers				

¹¹ These powers are to be exercised in accordance with any rules/regulations/guidelines that may be issued from time to time

¹² Specific existing delegation with respect to certain areas currently existing below E8 level would continue.



Sl. No.	Nature of powers	E9/ (E8 as OIC)	E8	E7	E6	E5	E4	E3	Remarks
vi.	To approve pricing/discounts on sale of all products and services	As per approved guidelines /approved policy.							Monthly statement to be submitted to the concerned Director
vii.	Acquisition of customer in case of gas and other products / services sales through market determined price.	Full powers	Full powers	Full powers Zonal-in-charge	Full powers Zonal-in-charge				
viii.	Selection of source of gas through MDPM where the terms & conditions have been approved by CA.	Full powers							
ix.	Appointment of Consignment Stockiest/agents for marketing of products/ services in line with policy / procedure guidelines	Full powers to E9							
x.	To approve minor modifications / amendments in approved contracts which do not have any financial implications	Full powers	Full powers	Full powers Zonal-in-charge	Full powers Zonal-in-charge				FCNR
xi.	Approval/Acceptance of transmission charges relating to Natural Gas, LPG and other products as per guidelines	Full powers E9 Marketing							



xii.	To define/ amend commercial procedures relating to the sale of Hydrocarbon/ Natural Gas/ Petrochemical and Other Products in line with approved policy/ guidelines or government guidelines	Full powers to E9 concerned							
xiii.	Issuance of free samples of Hydrocarbons/Petrochemicals and Other Products on recommendation of the Zonal -in-charge <u>Issuance of free material of Petrochemical products on recommendation of GAIL Polymer Technology Center (GPTC) in-charge</u>	0.5 subject to annual ceiling of 5							
xiv.	To approve purchase of Natural Gas from Domestic Sources upto 85 MMSCM on recommendation of Committee - in case of purchase through exchanges/ tenders/ bidding	Full powers E9 Marketing							
xv.	To approve purchase of Natural Gas on back to back basis involving positive margin based on recommendation of Committee	Full powers E9 Marketing							
xvi.	To approve contract (like confirmation notice/memorandum, termsheet etc.) of approved transaction for sale/purchase of Natural Gas, Hydrocarbon, Petrochemical, Other Products/By Products excluding transaction for more than one year (in consultation with Corporate Law department)	Full powers E9							



6.4 Land and Building[@]

Rupees in Lacs

Sl. No.	Nature of powers	E9/ (E8 as OIC)	E8	E7	E6	E5	E4	E3	Remarks
i.	Temporary leasing of land including right of use when land is leased for operational activities through local revenue authorities on the basis of approved operational plan of work	Full powers	Full powers	if OIC Full powers					
ii.	To grant compensation to farmers/ owners for the right of use of land for laying of pipeline etc. as per orders of Competent Authority under Petroleum and Mineral Pipelines Act/ approved procedure	Full powers	Full powers	Full powers					
iii.	Make deposits with the authorities of the estimated cost of land, ROU/Permission acquisition where compensation is to be approved by the Government	Full powers	Full powers	Full powers					
iv.	Temporary leasing of land for approved scheme by negotiation as per approved guidelines (each case)	60	12	6					Temporary mean for shorter period i.e. till Projects/job completion.



v.	Hiring of building / location -Warehouse and dump sites (per month) -Central/ State Govt. Warehouse - Location Sites	5 Full powers Full powers	3 Full powers Full powers	if OIC 1 if OIC Full powers if OIC Full powers					
vi.	Hiring of building (office/residential) for the executives of the company ¹³ (within admissible rent ceiling and as per instructions on the subject)-FCNR in case of residential accommodation as per entitlement (in each case)	Rental up to 25 per month in class 'X' cities & 10 per month in other cities (Y & Z Class). Full powers to grant administrative approval for hiring of camps.	Rental up to 20 per month in class 'X' cities & 8 per month in other cities.	if OIC Rental up to 12 per month in class 'X' cities & 4 per month in other cities					Subject to guidelines by CO HR
vii.	Purchase of land for approved scheme/approved projects for permanent project installations as per approved procedures/ guidelines. If procured through Government process	600 1200	375 375						Purchase of land includes residential land



viii	To order demolition of temporary structures or their sale for demolition, as per policy / guidelines	Full powers	Full powers	if OIC Full powers					
ix.	To fix rent for quarters, land and buildings belonging to the company for hiring out to outside parties as per rules/norms	Full powers	Full powers	if OIC Full powers					
x.	To sanction payment of advance rent for buildings	120	120	if OIC 90					

¹³ This shall not apply for hiring guest house / holiday homes / transit camps for which approval is required to be taken from the concerned in charge at Corporate Office (Other than as specifically mentioned above for E9/E8 as OIC). Full powers for hiring guest house / holiday homes / transit camps, if approved by the Corporate Office.

@ Powers are to be exercised with Concurrence of concerned HR Department.



Sl. No.	Nature of powers	E9 / (E8 as OIC)	E8	E7	E6	E5	E4	E3	Remarks
xi.	To approve submission of security deposits to Government agencies for carrying out approved work	Full powers	Full powers	Full powers					
xii.	To approve submission of security deposits to other agencies for carrying out approved work (including access rights for construction)	60	36	18					
xiii.	To approve brokerage for purchase / hiring of land / building / accommodation	Full powers as per guidelines	Full powers as per guidelines	Full powers in case of an OIC as per guidelines	Full powers for in charge (HR) subject to brokerage not exceeding 15 days or 0.5% as per guidelines				
xiv.	(a) Initial renovation expenditure for hired office premises	1 year rental	9 month rental	if OIC 6 month rental	if OIC 6 month rental				
	(b) Additions/alterations in hired building- for office transit accommodation	Not more than 3 months rent at the time of hiring and thereafter one month's rent per annum.							



6.5 Insurance

Rupees in Lacs

Sl. No.	Nature of powers	E9 / (E8 as OIC)	E8	E7	E6	E5	E4	E3	Remarks
i.	Expenditure sanction for insurance premium paid in respect of fidelity guarantee policies by cashiers, store keepers and others	Full powers	Full powers	Full powers	Full powers	Full powers	Full powers	Full powers	
ii.	Insurance charges for cash-in-transit and cash-in-chest	Full powers	Full powers	Full powers	Full powers	Full powers	Full powers	Full powers	
iii.	Insurance charges for goods in transit	Full powers	Full powers	Full powers	Full powers	Full powers	Full powers	Full powers	
iv.	Insurance of company's assets as per company policy/statutory requirements	Full powers	Full powers	if OIC Full powers					
v.	Insurance charges for vehicles	Full powers	Full powers	Full powers	Full powers	Full powers			
vi.	Group insurance charges	Full powers	Full powers	if OIC Full powers					
vii.	Emergency risk, accident or any other type of insurance premium	Full powers	Full powers	if OIC Full powers					
viii.	Cyber Insurance	Full powers-BIS							

Note: Acceptance of claim shall be done based on the recommendation of Committee consisting of Finance, C&P and concerned user department by the authority who has approved the insurance



Rupees in Lacs

6.6 Statutory Payments¹⁴

Sl. No.	Nature of powers	E9 / (E8 as OIC)	E8	E7	E6	E5	E4	E3	Remarks
i.	Taxes payable in respect of immovable property	Full powers	Full powers	Full powers	Full powers	Full powers	Full powers	Full powers	
ii.	Taxes payable in respect of movable property	Full powers	Full powers	Full powers	Full powers	Full powers	Full powers	Full powers	
iii.	License fee	Full powers	Full powers	Full powers	Full powers	Full powers			
iv.	Royalty	Full powers	Full powers	Full powers	Full powers	Full powers			
v.	Indirect Tax	Full powers	Full powers	Full powers	Full powers	Full powers			
vi.	Direct Tax	Full powers	Full powers	Full powers					
vii.	Penal/Interest Payment	(i) 5 for each case subject to annual ceiling of 20 (ii) E9 (F&A) CO-20 for each case subject to annual ceiling of 100	(i) 2.5 for each case subject to annual ceiling of 10 (ii) E8 (F&A) Head Tax Corporate Office :- 10 for each case subject to annual ceiling of 50	(i) 1 for each case subject to annual ceiling of 4					



Rupees in Lacs

viii.	Any other statutory payment and deposit with public/ private body / authority / stock exchange/ Depository etc.	Full powers	Full powers	Full powers					
ix.	Any statutory liability arising on account of the failure of the contractor towards payment of wages and/or payment of dues towards Social Security Compliance to his workers as observed by GAIL/Statutory Authorities (for meeting the statutory compliances under the provisions of the relevant Labour Laws) during the period of contract or on completion of the contract. Appropriate action to be initiated for the required recovery from the contractor through an appropriate mechanism	Full powers	Full powers	if OIC Full powers					

¹⁴ These powers will include the power to allow drawl of advance in favour of the Government Department concerned to which the tax is payable and actual payment of such advance to that department.

6.7 Legal

Rupees in Lacs

Sl. No.	Nature of powers	E9 / (E8 as OIC)	E8	E7	E6	E5	E4	E3	Remarks
i.	Powers of execution of instruments, deeds, leases, contracts and agreements and to sign the same	Full powers where agreement has been approved by the competent authority, except where affixing of seal of company is required. Full powers to be exercised only by the department designated for this specific purpose							
ii.	(a) To invoke arbitration, institute, defend, compound and abandon any proceedings before court/ tribunal/ arbitrator/ commission and execute power of attorney in consultation with the Corporate Legal Department (CLD) as per GAIL's Litigation policy (b) To institute/defend/ appeal tax disputes and to sign vakalatnamas/ indemnity bond/ power of attorney (c) To defend the summon issued to employee/ company in connection with business activity.	Full powers	Full powers	if OIC Full powers					
		Full powers	Full powers	if OIC Full powers					
		Full powers	Full powers	if OIC Full powers					
iii.	To sign vakalatnamas, mukhtiarnamas, petitions, complaints, written statement, replies, applications, statement of claims, statement of defence, rejoinder, review, revision, appeals and all other documents and papers in connection with cases before courts, arbitrator, conciliator or tribunal/ commission of enquiry on behalf of the company by concerned executive.	Full powers	Full powers	if OIC/E-7 (Law)-CO Full powers	if OIC Full powers				FCNR Filing of Evidence by way of Affidavit shall be as per the GAIL's Litigation Policy



iv.	Implementation or compliance of the arbitration award/ order/ judgment/ direction(s) passed by any court/ arbitrator/ tribunal/ commission/ quasi-judicial authority/ forum or decision to challenge such award/order/directions, as per GAIL's Litigation Policy/ rules in force	Full powers	Full powers	if OIC Full powers	if OIC Full powers				
v.	To sanction expenditure on court fees and other miscellaneous court expenses including stamp paper	Full powers	Full powers	if OIC/HOD (Law)- Full powers					FCNR
vi.	To appoint legal retainers on retainer basis, subject to approval of a panel (along with terms) by the Corporate office (Legal Deptt.) at the start of the financial year (in case such approvals are not existing, full powers are subject to the maximum limits indicated)	Full powers upto 0.3 p.m.	Full powers upto 0.2 p.m.	Full powers upto 0.1 p.m.					

Sl. No.	Nature of powers	E9 / (E8 as OIC)	E8	E7	E6	E5	E4	E3	Remarks
vii.	(a) appointment of empanelled advocates/_Law Firms for drafting/ vetting of legal documents / pleadings, appearing in individual cases in the court, arbitration or any other judicial or quasi-judicial or statutory bodies/tribunals/ forums and seeking other legal services^{\$} (b) In case of Non-panel Advocates/ Law Firms^{\$} (c) Empanelment of Advocates/ Law Firms as per Litigation Policy and approve their fee structure	Full powers 5 per case subject to annual ceiling of 12.50 E-9 (Law)/ E-8(Law) as HOD at CO: Full powers	Full powers 2.5 per case subject to annual ceiling of 6.25	Full powers 2 per case subject to annual ceiling of 5	Full powers if in charge HR/Law				FCNR FCNR
viii.	(a) To obtain legal/ Tax opinion/ services where legal retainers/Tax consultant are not approved/available (in each case) ^{\$} (b) To obtain legal opinion from Retd. Judges of SC/HC, AG/SG/ASG/Sr. Advocates and other Advocates(per opinion)^{\$}	5 10 For E-9 /E-8 (HOD) law	3 in case of Law Tax , else 2	1 in case of CO (Law/Tax)					FCNR
ix.	Power to accept surety bonds, mortgage deeds, hypothecation deeds and agreements from employees of the company in respect of advances, loans sanctioned to them and fidelity guarantees furnished by the company as per prescribed procedures	Full powers	Full powers	Full powers	Full powers for E6 of HR only	Full powers for E5 of HR			FCNR

x.	Arbitration/Tribunal/ SAC related fee and expenses related thereto	Full powers	Full powers	Full powers					FCNR
xi.	To appoint arbitrator in line with contract/ agreement as per policy guidelines	Full powers E9 (Law)	Full powers Head (Law) at CO/OIC	Full powers Head (Law) at CO/OIC					
xii.	(a)Engagement of Senior Advocate for appearing in Courts including SC/HC/Arbitration or any other judicial or quasi-judicial or Statutory bodies/ Tribunals/ Forums and other legal services (per case per hearing) ^s (b)Engagement of tax consultants etc. for appearing in tribunal/ appellate authority etc. (per case per hearing) ^s	10 (Head of Law) 2 (Head Corp. Tax)	E8 (law) 3.5 0.5						FCNR Monthly report to be submitted to concerned Director
xiii.	Approval for execution / extension of Confidentiality Agreement / Non Disclosure Agreement after legal and financial vetting.	Full powers	Full powers						
xiv.	To execute settlement agreements (to be prepared by CLD) as per GAIL's conciliation rules upon settlement of disputed claims in conciliation and as per Board/committee decisions	Full powers							FCNR

^s Excluding applicable conference charges and clerkage



6.8 HR

Rupees in Lacs

Sl. No.	Nature of Powers	E9/ (E8 as OIC)	E8	E7	E6	E5	E4	E3	Remarks
i.	Appointment to the post in the scale (upto) as per rules	S7	S7	S5^					FCNR
ii.	Issuance of appointment / transfer/ promotion offers	Concerned Section In-charge of HRD Dept. not below E6 in terms of Promotion Policy/ Transfer guidelines							
iii.	Acceptance of resignation	For S0 to S7							FCNR with the concurrence of local HR Department
iv.	Termination of service / appointment	As per CDA rules / certified standing orders In case of termination, if Appointing Authority is different than Disciplinary Authority, approval of Appointing Authority is to be taken							FCNR
v.	Transfer of officers / staff and declare the HQ of employees (in respect of technical disciplines only. For other disciplines, approval of concerned Director is required). These powers are only for intra-unit transfers. For any unit to unit transfer, approval of Corporate HR department is a pre-requisite	To be dealt as per Corporate HRD IOM No.CO/HRD/09/2019, dated 15.10.2019 and other Circulars/Orders/Communications issued from time to time in this regard							FCNR
vi.	Extension in joining time for fresh appointments	Upto S7 E9 (HR/HRD)- up to 90 days	Upto S7 Upto 35 days	Upto S5 Upto 20 days					FCNR
vii.	Grant of rewards to company's employees in accordance with approved scheme for employees grade	Upto E4							FCNR



Sl. No.	Nature of Powers	E9 / (E8 as OIC)	E8	E7	E6	E5	E4	E3	Remarks
viii.	Acceptance of joining on transfer / appointment / deputation	Upto E8	Upto E7	Upto E6	Upto E5	Upto E4	Upto E3		FCNR
ix.	Acceptance of premature retirement / voluntary retirement / discharge / superannuation as per rules and extant guidelines	Upto E4- (by Corporate HR)							FCNR
x.	Forwarding of application for employment as per rules and through Corporate HR department	Upto E6	Upto E5	Upto E4					FCNR
xi.	To engage casual labour skilled / unskilled as per the minimum wages as applicable for a period not exceeding three months in the case of breakdown and / or annual overhaul or miscellaneous HR services not exceeding 7 days for one occasion	Full powers	Full powers	if OIC Full powers					
xii	Sanction of personal claims like leave encashment and other reimbursements	Application to be processed by HR/ Central Claims section at Corporate Office							FCNR



xiii.	Fixation of Pay - on first appointment	Full powers upto 5 increments on recommendation of the selection committee upto the level he/she is the appointing authority (Exceptional cases may be referred to Director (HR) with due recommendation through Corporate HR Department)						FCNR
xiv.	Fixation of Pay - on promotion / revision of pay - on demotion / reversion to substantive post - on completion of penalty of withholding of increment	HR Department headed by not less than E-4 otherwise by OIC						FCNR
xv.	Engagement of revenue officials on deputation	with concurrence of local HR Dept. subject to approval of concerned Director						
xvi.	Expenditure on engagement of apprentices as per statute and approved GAIL Apprenticeship Training Scheme	Full powers						Subject to concurrence of concerned HR Department

^ For all disciplines if OIC, otherwise for respective discipline

6.9 Administrative

Rupees in Lacs

Sl. No.	Nature of Powers	E9 / (E8 as OIC)	E8	E7	E6	E5	E4	E3	Remarks
i.	Sanction of all types of leaves ¹⁵	Full powers in respect of officers / staff working under him					##	**	FCNR
ii.	Approval of outstation journey on tours	Full powers ^{\$}	Full powers ^{\$}	Full powers ^{\$}	Full powers ^{\$}				FCNR
iii.	Sanction of long term advance / loan as per approved schemes (HBA/Conveyance etc.) to entitled employees as per budget provision	Full powers	Full powers	Full powers	Full powers for E6 (HR) only	Full powers for E5 (HR) only			FCNR
iv.	Sanction of short term advances as per approved schemes (Tour, LFA etc.)	E6 and above – Self Controlling E1-E5 –E6; S0-S7 –E4							FCNR
v.	Authorise travel by higher class (other than air)/air on tour to non-entitled category^^	Full powers	Full powers						FCNR
vi.	Authorise travel in an individual case by a route other than shortest convenient route	Full powers	Full powers	HR Dept. as per HR policy					FCNR
vii.	Allow TA for journey on official duty made during leave or while proceeding or returning from leave	Full powers	Full powers	if OIC Full powers					FCNR
viii.	Sanction of TA advance	Authority sanctioning the tour can also sanction advance.							FCNR
ix.	Sanction reimbursement of cancellation charges of tickets purchased for an authorised journey.	Authority sanctioning the tour can sanction cancellation of ticket							FCNR

¹⁵ A copy of the approval should be sent to the OIC or the concerned HoD.



Sl. No.	Nature of Powers	E9/ (E8 as OIC)	E8	E7	E6	E5	E4	E3	Remarks
x.	(a) To depute employees upto two level junior for specialized short term training courses, duration not exceeding one month, seminars, conferences, workshops, etc. in the country not included in an annual training calendar^^^	Full powers	Full powers	if OIC Full powers	-	-	-	-	FCNR, subject to ceiling contained in the approved budget and approval of the training department at GTI
	(b) To accord approval for conducting Training at any location within India-on the recommendations of the duly constituted committee of GTI. This will cover all the training programs included in the Annual Training Calendar (ATC) and will also cover other specific training programs, not covered in ATC but considered necessary as per GAIL's business requirements	if OIC,GTI Full powers,	if OIC, GTI Full powers,	if OIC, GTI Full powers,	if OIC, GTI Full powers				FCNR Finance Official to be part of the Committee
	(c) To accord approval for fixation of rates for imparting training and/or for renting out infrastructure of GTI to external organizations for purpose like training, seminar, conferences, meeting etc. with recommendations of committee at GTI	if OIC, GTI Full powers	if OIC, GTI Full powers	if OIC, GTI Full powers					FCNR- for imparting training FCNR- for renting out infrastructure upto 2 week duration
	(d) To accord approval for suitable Rebate/ Waiver on the approved rates on Training and/or Infrastructure of GTI to PSUs, Government bodies, Govt autonomous bodies, Educational Institutions and GAIL's JVs/Subsidiaries, upon recommendation of the Committee at GTI	if OIC,GTI Full powers							

	(e) In-house training programs for first aid, fire & safety, disaster management environmental, stress management, Security, TQM etc. and to meet operational requirements (per programme)	Full powers	Full powers	if OIC 0.5	if OIC 0.25				
	(f) To accord approval for organising Knowledge Management events (such as Annual Knowledge and Experience Sharing Seminar, Conference, Workshop or any other Knowledge event etc.) and to incur related expenditure:	For OIC GTI- 7 per event subject to an annual ceiling of 30 Other: 3.5 per event subject to an annual ceiling of 15							
	(g) Grant of reward / Memento for in-house Quiz/ Business Competitions/ Seminars, and other knowledge management/ development events etc..	0.03 for individual performance subject to annual ceiling of 1							FCNR
xi.	(a) Grant of Honorarium for acting as faculty on in-house training / seminar / exhibition / selection, as per approved guidelines. (b) Hiring of agency for conducting training programmes at site or at training institute from any one of the empaneled institutes / agencies.	Full powers Full powers	Full powers Full powers	if OIC Full powers if OIC Full powers					FCNR, subject to ceiling contained in the approved budget and approval of the Training Deptt. at GTI
xii.	Recall from leave	Full powers for all officers and staff working under him/her							FCNR



xiii.	Journey for medical assistance as per approved guidelines	Full powers	Full powers	Full powers					FCNR
xiv.	To engage authorised medical specialist(s) and para-medical staff as per policy approved by C.O.	Full powers	Full powers	if OIC Full powers					
xv.	Sanction of Foreign Travel (all employees)	C&MD. To be processed by Concerned HR department							FCNR
xvi.	Release of Foreign Exchange (all employees)	Designated Officer not below E5 in Corporate HR department. To be processed through F&A department. E9/E8(HR) for non-employees.							FCNR
xvii.	Settlement of Travel Bills (i) E6 & above : E0 to E5 : S3 to S7: S0 to S2 : (ii) non-employee	Self – controlling. To be processed by concerned F&A and HR department E6 E5 E4 E-9/E8 (HR) - Full powers							

Sl. No.	Nature of Powers	E9/ (E8 as OIC)	E8	E7	E6	E5	E4	E3	Remarks
xviii.	(a) Authorization to stay in hotel (Domestic) beyond entitlement (b) to sanction reservation/ cancellation changes for booking of hotel accommodation	- *E-8 and above: Reporting Officer - E4 to E7: Controlling Officer not below E8 - S0 to E3: Controlling Officer not below E6							FCNR *Where the reporting officer is Director level and above, the approval will be done in line with existing power of Director and above
		Full powers	Full powers	if OIC Full powers					FCNR
xix.	Insurance in case of Death and permanent total disablement (if applicable) – LIC Group insurance in lieu of EDLI, Death Relief Fund, Financial Assistance Scheme, and Group Personal Accident Insurance (all employees)	E8 and above from HR function. To be processed by a committee constituted for this purpose in coordination with concerned HR and F&A department							FCNR
xx.	Post retirement benefits – post retirement medical scheme (all entitled employees)	As per rules. To be processed by concerned HR and F&A department							FCNR
xxi.	Leave Encashment as per rules other than at separation	Self-empowered. To be processed by concerned HR and F&A department							FCNR
xxii.	Leave Encashment as per rules at separation	E4. To be processed by concerned HR and F&A department							
xxiii.	Holiday Home – Availment (all employees)	Self – controlling subject to sanction of leave. To be processed by concerned HR and F&A department							FCNR
xxiv.	Medical Reimbursement (all employees)	Self-certification. To be processed by concerned F&A department							FCNR
xxv.	Relaxation in rules of Medical Reimbursements (all employees) in each case	E9/E8 as OIC/HR – 0.2 E7 as OIC – 0.1							FCNR



Sl. No.	Nature of Powers	E9 / (E8 as OIC)	E8	E7	E6	E5	E4	E3	Remarks
xxvi.	Relaxation in rules for higher category of accommodation in case of non-availability of entitled accommodation for hospitalization - All employees (in cases of emergency) - All employees (in other cases)	- OIC of Work Center / HOD at Corporate Office not below E8. To be processed by concerned HR department - Corporate HR Department							FCNR
xxvii.	Sanction of Terminal benefits example PF, pension, Gratuity etc. on separation (all employees)	E5 and above To be processed by concerned HR and F&A department							FCNR
xxviii.	Authorize travel by higher class / air (which is other than the entitled mode of travel, i.e., train) in connection with outside for emergency medical treatment based on recommendations of concerned doctor along with an escort	- E9/E8 as OIC – Full powers - E8– Full powers - E7 as OIC– Full powers							
xxix.	Authorize higher category of room in case of non-availability of entitled room for indoor treatment	E9 / E8 as OIC / E8(HR) – Full powers							FCNR
xxx.	Authorize “Empanelment of Hospitals” for A1-class and below cities	E9(HR) – Full powers							
xxxi.	To accord administrative approval and expenditure sanction relating to visit of Parliamentary Committees, Ministers and other Government officials and other events of similar nature	20	20 in case of E8 as HOD at Corporate Office, else 10	if OIC 6 else 4					A quarterly Report will be sent by site OIC to Corporate HR.

Full powers to sanction casual leave to executives and all types of leave to staff under him.

** Full powers to sanction casual leave to executives and staff under him.

\$ E6 and above levels would countersign their own TA bills certifying that the tour had been approved by the Competent Authority.

^^ Report to be sent every month to Corporate Office for E8 (HR) with full justification.

^^^ Report to be sent every month to the Corporate Office. Since, training is a corporate function, training needs of employees (including IT training) should be sent to the corporate office for approval at the starting of the financial year. Needs of IT training to be determined in consultation with IT department at the Corporate Office.

6.10 Other General Items¹⁶

Rupees in Lacs

Sl. No.	Nature of powers	E9 / (E8 as OIC)	E8	E7	E6	E5	E4	E3	Remarks
A	Communication facilities								
i.	Installation of facsimile inter-com and other communication facilities	Full powers	Full powers	Full powers					
ii.	Installation of telephone at office	Full powers	Full powers	Full powers					FCNR
iii.	Installation of telephone at residence as per rules	Full powers	Full powers	Full powers					FCNR
iv.	Allocation of a mobile phone for official work not covered by rules.	Full Powers							
v.	Facsimile and wireless equipment, modems etc. rental charges, including maintenance charges	Full powers	Full powers	Full powers					FCNR
B	Stationery and Printing								
i.	Printing of forms, letter heads, registers etc. and binding thereof, procurement and printing of stationery (including computer consumables like printing cartridges, toners, storage media like blank CD, DVD, Tapes media, pen drive, UPS battery, projector lamp etc.)	Full powers	Full powers	Full powers					FCNR
ii.	(a) Purchase of/ to incur expenditure on books, newspapers and other official publications, online databases, e-Newsletters, e-Journals, digital libraries, downloadable media & forms of publications, electronic news portals, websites including reports for library (on recommendations of library committee) (p.a.) within the approved library budget.	Full powers	if OIC Full power	if OIC 2					FCNR

¹⁶ Where expenses are subject to budgetary provisions, the OIC would be responsible for allocation of budgets within departments and levels.



Sl. No.	Nature of powers	E9 / (E8 as OIC)	E8	E7	E6	E5	E4	E3	Remarks
	(b) Purchase of / to incur expenditure on books, newspapers and other publications, e-publications including reports for official purposes (p.a.) within approved budget	Full powers*	Full powers*	if OIC 0.5	if OIC 0.3				FCNR *Any single item purchased above Rs. 5.0 lacs will be reported to concerned Functional Director
iii.	Write off of books/periodicals on the recommendation of the Library Committee (p. a.)	0.5	0.3	if OIC 0.15					
iv.	Disposal of books / periodicals / any other documents in Libraries on recommendation of the Library Committee	Full powers	Full powers	Full powers					FCNR
C	Hospitality¹⁷								
i.	Light refreshments to be served in official meetings and conferences if OIC (p.a.) Otherwise (p.a.)	2 2	1.60 1.20	0.90 0.60	0.60 0.24	0.40 0.12	0.20 0.06	0.10 0.04	FCNR
ii.	Working meal to participants during in-house training, programs, counseling session, workshop, seminar, official meetings, and conferences (p.a.)	10 20 in case of Pata	6	3*	1.2*	0.6*	0.24*		FCNR *Monthly report to be submitted to OIC
iii.	Entertainment of company guests, distinguished guests, any other official guests, Indian and foreign delegation as also parties from the press and other media including all other associated arrangements (p.a.)	6 10 in case of Pata	3.6	1.8*	0.72*				FCNR *Monthly report to be submitted to OIC

¹⁷ The expenditure incurred in offices on meeting etc. shall not be construed as entertainment expenditure but shall be treated as office contingencies. Expenditure on entertainment incurred should be within the approved budget and the claim shall be invariably supported by proper bills/vouchers.



Sl. No.	Nature of powers	E9 / (E8 as OIC)	E8	E7	E6	E5	E4	E3	Remarks
D	Welfare and Grant-in-Aid								
i.	(a) To sanction non-recurring grants to social, educational, cultural, sports, charitable, rural development, community welfare institutions as per policy / rule (b) Implementation of CSR programs as per policy/budget approved by Corporate office.	2 in each case for E9 (Pata)/ E9 (Gas (O&M))/E9 (Projects)/ E9 (Marketing) subject to annual ceiling of Rs 10 : 1 in case of Vijaipur subject to annual ceiling of 5: 0.4 in case of others subject to annual ceiling of 2 Full powers	0.12 in each case subject to annual ceiling of 1.2 Full powers	if OIC 0.06 in each case subject to annual ceiling of 0.6 if OIC Full powers	if OIC Full powers				
ii.	(a) To incur expenditure on ceremonial occasion ¹⁸ (including Foundation Day Celebration, New Year Celebration etc.)/ event (Including in-house events)/ related to security, safety, conservation, implementation of official language/ employee engagement activities/ knowledge sharing sessions on superannuation of employees, etc./any other event of similar nature not covered above.								FCNR Subject to observance of instructions on the subject and specific budgetary allocation other than specifically approved by CO

¹⁸ List of such occasion other than in-house events, together with permissible expenditure per head to be circulated by the corporate office at the beginning of the year.



	(i) As notified by Corporate Office (ii) In other cases	Full powers 2 in each casesubject to anannual ceiling of 10, 5 subject to annual ceiling of 20 for Pata	Full powers 1.2 ineach case subject to annual ceiling of 6	if OIC Full powers 0.6 ineach case ifOIC/ HR(HoD) subjectto annual ceiling of 3					
	(b) To incur expenditure on sports activities as per approved policy / guidelines	Full powers	Full powers	if OIC Full powers					
iii.	To approve expenditure in case of sudden death of an employee for meeting funeral and other incidental expenses.	Full powers as per policy	E8 (HR) Full powers as per policy	if OIC Full powers as per policy					FCNR



Sl. No.	Nature of powers	E9/ (E8 as OIC)	E8	E7	E6	E5	E4	E3	Remarks
E	Office Contingencies								
i.	Postage and telegrams	Full powers	Full powers	Full powers	Full powers	Full powers	Full powers		FCNR
ii.	Electricity and water charges	Full powers	Full powers	Full powers	Full powers	Full powers	Full powers		FCNR
iii.	Expenditure on xeroxing, photocopying, duplicating, typing, translation from outside agencies, where necessary in-house facilities are not available or the work has to be done on urgent basis (p.a.)	Full powers	Full powers	Full powers	0.50	0.25	0.10		FCNR
iv.	Expenditure on design and drawing office jobs like tracing, drawing, including e-design, presentations and ammonia prints etc. where necessary in-house facilities are not available or the work has to be done on urgent basis (p.a.)	Full powers	Full powers	Full powers	0.50	0.25	0.10		FCNR
v.	Powers to approve and incur expenditures on incidental activities and related to company's business activities and not covered elsewhere (per annum)	5	3	2	1				FC required for any expenditure exceeding Rs 0.25 lac in each case



Sl. No.	Nature of powers	E9 / (E8 as OIC)	E8	E7	E6	E5	E4	E3	Remarks
F	Imprest								
i.	Sanction of imprest / contingent advance to officers under his / her administrative control and to incur expenditure (in each case)	0.75	0.5	0.25	0.10				.
ii.	To sanction and incur expenditure through petty purchase (in each case).	0.25	0.25	0.25	0.10	0.05	0.02		FCNR upto Rs 0.25 lac in each procurement
iii.	To sanction and incur expenditure through Direct Procurement through Committee	2.5 subject to annual ceiling of 15	1.5 subject to annual ceiling of 9	0.75 subject to annual ceiling of 4.5	0.50 subject to annual ceiling of 3				Procurement value upto Rs. 75,000, committee will consist of three representatives from Indenting Dept. and above Rs. 75,000 Committee will consist of representative from Indenting Dept, C&P and F&A.



Sl. No.	Nature of powers	E9/ (E8 as OIC)	E8	E7	E6	E5	E4	E3	Remarks
G	Hiring of vehicles								
i.	For regular and continuous use as approved by concerned Director	Full powers	Full powers	if OIC Full powers					Due concurrence of Corporate HR & Finance is required for all vehicles
ii.	For emergency / occasional use (Government bodies / statutory bodies, customer relationship, social / staff welfare activities) (p.a.)	5 7 (for Pata)	3	if OIC 1.5 or In-charge (HR)					FCNR Rs 0.05 lac where running contracts for hiring of vehicles are in place and are vetted by Finance during their finalization, separate financial concurrence is not required as long as vehicles are hired from approved contractor(s) at approved rate(s) by the authorized officials. If at any location vehicles hiring contracts is not in force, the hiring of vehicle should be approved by authorized officials after obtaining financial concurrence.



Sl. No.	Nature of powers	E9/ (E8 as OIC)	E8	E7	E6	E5	E4	E3	Remarks
H	Membership Fees								
	Reimbursement/payment of fees for membership of professional institutes as per company rules	Full powers	Full powers	Full powers	if OIC Full powers, E6 (HR) at CO and HR In-charges at work centers				FCNR
I	Advertising, Publicity and Souvenir								
i.	To accord administrative approval and to incur expenses on Courtesy / Non Campaign advertisement in various print, electronic, web, digital, outdoor mediums including but not limited to souvenirs, brochures, newspapers, books, periodicals, banners, websites, hoardings, texting etc. through - Corporate CC (in each case) - Others As per Advertising & Communication policy (in each case)	4 0.4	2.4 0.24	1.20 0.12					
ii.	To accord administrative approval towards all CC centric jobs including Exhibitions / trade fairs/ trade seminars/ event management; all activities related to media engagement and monitoring; all printing jobs involving creative approach; Campaign advertisements (print, electronic, web, digital, outdoor); Social	Full powers	Full powers	if OIC/ HOD (CC) Full powers					These are administrative power. The selection of agencies and award shall be governed as per DoP clause no. 6.1.2 to 6.1.5 and corresponding respective head Chapter 4,5 and 7.



	Media; Communication and Brand Research; Films/ Multimedia / AVs; Direct Mailers; Industrial Photography etc. <u>The power to be used by OIC with the concurrence of HOD (CORPORATE CC Dept.) (subject to A & C Policy)</u>								
iii.	Purchase of mementos/complimentary gifts for official guests	0.08 per guest subject to an annual ceiling of 5	0.04 per guest subject to an annual ceiling of 2	0.02 per guest subject to an annual ceiling of 1					FCNR
iv.	To sponsor schemes/ programs of external agencies (e.g., educational, technical, and academic symposia/ seminars/sports/cultural events etc.) within budget allocation and in accordance with policy guidelines	2 subject to an annual ceiling of 10	1 subject to annual ceiling of 5	0.75 subject to an annual ceiling of 3 if OIC					
v.	To incur expenditure for hiring of space for exhibitions	50	50, E8(CC)	20 E7 (CC), if OIC 10					FCNR
vi.	Advertisement connected with invitation of tender or recruitment of employees or other statutory advertisements [as per guidelines issued by Corporate Communication (CC) department]	Full powers	Full powers	if OIC Full powers for CC deptt.					FCNR



J	Award to Employees								
	Sanction of rewards to employees for meritorious work on each occasion	0.04 subject to annual ceiling of Rs 0.50	0.03 subject to annual ceiling of 0.30	0.01 subject to annual ceiling of 0.15					FCNR
K	Financial Services								
	Banking charges, interest, guarantee fee etc.	Full powers	Full powers	Full powers Finance in charge					
L	To approve (which includes participation & processing fees) participation in awards / competition instituted by various State / Central Government, NGOs, Electronic & Print Media and National / International prestigious bodies. (p.a.)	10	5/10 E8 (Concerned)	3					
M	Approving procurement of tender document/information memorandum, bidding fee etc.	Full powers							
N	Official Meet(s)								
(i)	To accord administrative approval on Departmental meet (such as O&M Meet, C&P Meet, Finance Executive Meet, Marketing Meet, HR Meet, etc.) (in each case)	10							subject to in-principle approval of concerned Director alongwith estimated amount
(ii)	To accord administrative approval towards Customer/Vendor/MSEs Meet, CS Meet, Banker Meet, Investor/Analyst Meet etc. ; Inauguration/ Laying of Foundation Stone/Dedication by-Management/ Government Functionaries	Full Powers							
O	Miscellaneous								
i.	Sanction of detention/wharfage and demurrage (reasons to be recorded in writing)	Full powers	Full powers	2*	1*				*Monthly report to be submitted to OIC



ii.	To give / take material on loan against deposits	Full powers	Full powers	20	10				
iii.	To take on hire, machinery including crane, tools, equipment etc. for operational requirement after following proper tendering procedure	Full powers	Full powers	if OIC Full powers, else 30	12	6	2		
iv.	To fix hire charges for mobile equipment and machinery as per policy / rules in force	Full powers	Full powers	if OIC Full powers	if OIC Full powers	if OIC Full powers	if OIC Full powers		
v.	To fix hire charges for vehicles as per policy / rules in force	Full powers	Full powers	if OIC Full powers	if OIC Full powers	if OIC Full powers	if OIC Full powers		
vi.	Sanction/incur transportation charges for goods as per purchase order	Full powers in case of OIC/ Incharge of C&P at work centers							

6.11 Delegation of Powers for CGD Business only (If specific delegation is not covered in 6.11, then other sections of the DoP may be referred)

Rupees in Lacs									Remarks
Sl. No.	Nature of powers	E9/ (E8 as OIC)	E8	E7	E6	E5	E4	E3	
i.	To approve Terms & Conditions/ Modify Forms for Individual Registrations and Terms-sheets / Agreements (with financial implications) for Bulk PNG/CBG/LNG/LCNG etc. registrations with Builders / State Authorities / PSUs / Resident Welfare Associations etc.	Full powers	Full powers	if OIC Full powers					
ii.	To approve/modify Agreement/ Term Sheet etc. (with financial implications) for PNG(Domestic, Commercial, Industrial etc.) / CNG/ LNG/ LCNG/ CBG/ Compression services etc. supply	Full powers	Full powers	if OIC Full powers					



	to Commercial, Industrial and Transport Sector								
iii.	Modifications, without financial implication, in approved Terms-sheets / Agreements for Bulk PNG registrations & agreements/ contracts for PNG (Domestic, Commercial, Industrial etc.) / CNG/ LNG/ LCNG/ CBG/ Compression services to Commercial, Industrial and Transport Sector	Full powers	Full powers	if OIC Full powers					
iv.	- To approve / adopt terms and conditions, agreements/ contracts for setting up CNG /LNG/LCNG/CBG stations etc. - To appoint dealer(s) (DODO) on the recommendations of the duly constituted cross functional committee	Full powers	Full powers	if OIC Full powers					
v.	To define/ amend / approve Terms & Conditions / Procedures relating to the any business Schemes (Bio fuel/EV Charging/Battery swapping/H-CNG/ Petroleum Products/ Ethanol/ Hydrogen etc.) under CGD	Full powers	Full powers						
vi.	To sign approved Agreements /Contracts / Termsheet for sale / purchase of PNG (Domestic, Commercial, Industrial etc.) / CNG/ LNG/ LCNG/ CBG/Compression services/Business schemes as defined in 6.11.(v)above	Full powers	Full powers	if OIC Full powers					FCNR
vii.	Settlement and Renunciation of metering / billing disputes of PNG (Domestic, Commercial, Industrial etc.) / CNG/ LNG/ LCNG/ CBG/ Compression services/ Other CGD Business Customers and Renunciation	Full powers	Full powers	if OIC Full powers	0.10	0.05	0.04	0.02	FCNR



	of late payment charges /interest /Cheque bounce Charges, Service Charge and applicable taxes thereof including refund of excess payment made by the customers against the dues/bill and settlement of excess billing etc.(in each case)								
viii.	To approve CNG/ LNG/ LCNG/ CBG Sales Promotion Plan such as Prepaid Vouchers / Coupons, Sponsor Demo Vehicles/ CNG Conversion, EMI Sharing Scheme etc. on each case each GA basis	100	50	if OIC 25					In each case each GA basis (E-7 to submit a Monthly report to E-9/E-8)
ix.	- To approve Pricing Committee recommendation on pricing / discount of PNG (Domestic, Commercial, Industrial etc.) / CNG/ LNG/ LCNG/ CBG/ Compression services/Other CGD Business in CGD. - In case cost price is higher than retail selling price, the approval of under recovery on recommendation of Pricing and Sourcing Committee.	Full powers	Full powers						Report to be submitted to Director (Marketing) on monthly basis
x.	To incur expenditure on Publicity / souvenir/ Advertisement in Print / TV / Radio / Hoardings/Safety Campaign etc. for CGD Business (On each case each GA basis)	25 In each case each GA basis subject to annual ceiling of . 100 per GA.	10 In each case each GA basis subject to annual ceiling of 50 per GA	if OIC 5 In each case subject to annual ceiling of 25					Quarterly report to be submitted by E-7 & Below to Concerned E-9



Notes:

- (a) OIC means:
 - (i) Executive who is designated as OIC by Corporate HR/HRD **or**
 - (ii) Executive who is reporting directly to a Director / C&MD (excluding executive posted in the Secretariats of Director/C&MD)
- Zonal in-charges are OICs for the purpose of exercising powers under DoP.
- (b) In respect of such OICs who are not E7 but have been posted as OICs with the approval of the competent authority, can exercise powers of E7 as OIC even if they are of E6 level.
- (c) E7 directly reporting to Director /C&MD (excluding executive posted in the Secretariats of Director/C&MD) will have the power of E8 as OIC.
- (d) E9 (PC)-CO, E9 posted at Pata, E9 (O&M-Central Region), E9 (O&M-CO) and E9 (Projects) shall exercise 90% of powers of Directors for services, consultancy services, works & purchases including stores and spares (para 5.2) and for disposal of scrap / surplus material (para 5.3) for items defined under the heads including its sub paras.
- (e) Award of contract powers for Works, Purchase, Consulting Services and Hiring of Contract services are contained in 6.1.2, 6.1.3, 6.1.4 and 6.1.5 respectively.
- (f) If the time extension is granted levying applicable PRS as per the original contract schedule, no financial concurrence is required. If time extension is granted partially levying PRS or without levying PRS beyond original completion schedule then financial concurrence is required.)
- (g) In case of procurement wherever report is required to be submitted to OIC it will be submitted by indenter.
- (h) E9/E8 if OIC will have full administrative powers for administration of contracts awarded within their own powers relating to sales/purchase/works/consulting and hiring of contract services.
- (i) Respective E9 will have the power to approve transfer/ change of materials destination under an awarded contract.
- (j) After approval of the competent authority as per clause no. 4.17 of DoP, concerned Head of Department (HoD) is empowered to issue / execute/ extend Power of Attorney in favour of PSU-Consultant authorizing them to do all such acts deeds etc. for Projects, as may be necessary for tendering activities, award of packages, execution related activities, closure of contracts etc.



Chapter 7

Delegation of Powers for placement of Orders for Work / Purchase to Empowered Contracts and Procurement Committee

Empowered Contracts and Procurement Committee (ECPC) is a sub-committee of the Board, consisting of all functional directors and C&MD, assisted by Head of C&P and proceedings of the same shall be placed before the Board of Directors in terms of Article 94 of Articles of Association of the Company.

The constitution of the Committee is strictly on the premise that the ordering functions of the approved projects and O&M requirements of operating plants of GAIL should be expedited so as to keep in check the slippages that may occur as a result of ordering delays. The Committee is therefore required to deliberate on proposals for orders at more frequent occasions and as and when considered expedient to do so in the interest of the project/ operations.

The deliberations in the Committee and approvals for the recommendations within its delegated powers are to be co-ordinated by the Head of C&P department at Corporate Office. The values of orders in various situations that would henceforth be put up for approval of the ECPC are as given in hereafter under the various heads of the DoP. For the sake of clarity all other matters not specifically covered in the following heads, which are beyond the delegated powers of C&MD/Functional Directors, shall be put up to Board of Directors.

7.1 Works and Purchase including Stores and Spares

7.1.1 Works - Acceptance of tenders for approved projects/ scheme through open advertised tenders / limited tenders

	Above Rs. lacs
a) When more than one valid tenders are received and lowest technocommercially acceptable tender is considered for award	5000
b) When only single tender is received	2500
c) Extension of scope of existing works contract ¹ with no change in terms and conditions and/or approval of extra (new) items and/ or Substituted Items and/ or AHR items (beyond SOR Qty.) for (reason to be recorded in writing):	
(i) Contracts awarded within own powers	20% of the original contract value and/or 2500
(ii) Contracts awarded with approval of the Board	20% of the original contract value and/or 2500
d) Award of contracts without calling for tenders (reasons to be recorded in writing) / or on single tender / nomination basis	250
e) Powers to waive liquidated damages in case of delays in execution of contracts where the liquidated damages are recoverable as per contract (reasons to be recorded in writing)	250

¹ Powers for extension of scope of existing contracts are concurrent powers to be exercised as per ceilings specified under DoP for various levels of Competent Authority and not in a manner that each level would exercise as limit e.g. if a case is put up to ECPC the values indicated hereunder are to be read as overall ceiling inclusive of approvals already taken at below board level executives/ Functional Director/C&MD.



7.1.2 Purchase - Acceptance of tenders / quotation for approved project/ scheme through openadvertisised tenders / limited tenders.

	Above Rs. Lacs
a) When more than one valid tenders are received and the lowest techno-commercially acceptable tender is considered for placement of order	5000
b) When only single tender is received	2500
c) Repeat orders when there is no change in rates, terms and conditions & subject to procedure given in C&P manual and for the same project/ same job	2500 subject to ceiling of 50% of original order quantity
d) Placement of order without calling for tenders (reasons to be recorded in writing) / or on single tender / nomination basis	250
e) Acceptance of quotations without calling for tenders for	
1) Proprietary items	5000
2) Surplus Material and equipment/ material lying in stock from other public sector undertakings to meet exigencies of projects/ operations & maintenance	2500
3) Placing trial orders for R&D including development of alternative sources	375
f) Powers to waive liquidated damages in case of delays in execution of contracts where the liquidated damages are recoverable as per contract (reasons to be recorded in writing)	250
g) Acceptance of tenders / quotations for procurement of Spares / Consumables / Chemicals / Catalysts required for Operation of Plant & Facilities among Pre Approved (GAIL / PMC / Licensor / OEM approved) vendors	5000

7.1.3 Consulting Services²- Award of contracts for consulting services through Open / Limitedtenders:

	Above
	Rs. Lacs
a) when more than one valid tenders are received and the lowest techno-commercially acceptable tender is considered for award	2000
b) When only Single Tender is received	1000
c) Award of Contracts without calling for tenders on Single tender/ Nomination Basis (reasons to be recorded in writing)	400
d) Extension of the Scope of an existing Consultancy contract with same terms & conditions and / or approval of Extra (new) job and/ or substituted jobs and/ or AHR items (beyond SOR Qty.) (reason to be recorded in writing):	50% of the original contract value and/or extension 1000

² Consulting Services includes all types of consulting services in the area of Technical, Financial, HR, PR, Legal, Management, Organisation etc.



7.1.4 Hiring of contract services³ - Acceptance of tenders issued through open/ limited tendering

	Above Rs. Lacs
a) when more than one valid tenders are received and the lowest techno-commercially acceptable tender is considered for award or when work is awarded to more than one bidder at lowest rates accepted by such bidders	5000
b) When only single tender is received	2500
c) Award of service contracts without calling for tenders or on Single Tender/ Nomination Basis (reasons to be recorded in writing)	250
d) (i) Extension of Scope and period of an existing service contract on the same terms and conditions and / or approval of Extra (New)Items and/ or Substituted Items and/ or AHR items (beyond SOR Qty.) (reason to be recorded in writing):	50% of the original Contract Value and/or 2500
d) (ii) Extension of duration of Period Based Contracts	A maximum period of one-year subject to total Executed Contract Value is within the limit of 150% of the Contract Value
e) Award of Service Contract on Proprietary Basis	500
f) (i) Acceptance of tenders / quotations for procurement of services for Repair / Service / Overhaul of Critical Equipment's and Machinery by OEM / OEM's Authorized Vendors / Maintenance Centres (as per GAILO&M Policy & Guidelines), required for Operation of Plants & Facilities	5000
f) (ii) Extension of Scope and period of an existing service contract on the same terms and conditions and / or approval of Extra (new) Items and/ or Substituted Items and/ or AHR items (beyond SOR Qty.) (reason to be recorded in writing):	50% of the Contract Value and/or 2500 and/or Extension of duration of Period Based Contracts by a period exceeding one year

³ Hiring of contract services includes, services for maintenance of plant and equipment, material handling, survey for O&M activities, annual operation & maintenance of computers, communication facilities, vehicles, insurance, banking and other financing related services, hiring of vehicles, cranes, equipment, facilities etc., hiring of services for courier, upkeep of office, upkeep of township, horticulture, canteen, other repair & maintenance contracts, event management, recruitment services, DGR sponsored security agencies and State Ex-Servicemen Corporations, PMC services and other contracts specifically not defined in DoP



7.2 Procedure

The procedure would be as follows:

- 7.2.1 Cases covered under the heads as listed above shall be processed in respective purchase files as is normally done, except that a separate note similar to the Board Note shall be placed in the file. The case will require approval of C&MD as before prior to formal consideration by the Committee.
- 7.2.2 The "ECPC NOTE" shall be circulated to all the functional directors forming the Committee at least 2 or 3 days before the due date and time fixed for the formal meeting of the Committee. The Head of C&P in consultation with C&MD and the concerned Director shall fix the time for the meeting. It shall also be ensured that the Note for consideration of the Committee is duly received by all the Functional Directors.
- 7.2.3 On the date and time fixed for the meeting, the case(s) shall be presented to the Committee by the Head of C&P or his nominee and the meeting shall be attended by the concerned Project Head and Head of Finance or their nominees, who may requisition the presence of other support groups depending upon the complexity and technicality involved in the case(s) under consideration.
- 7.2.4 Normally the meeting of the Committee must be held on the date and time fixed for the same. If, for reasons of extreme exigencies, a meeting cannot be held, the case shall be approved by circulation to the functional Directors, who will sign in token of their respective concurrence on the copy of the ECPC Note and return the same to the Head of C&P, co-ordinating the meeting. There shall be no reconvened meetings of the Committee, except in the event the Committee after due deliberations on a proposal decide to meet again and record the need for another meeting before a decision could be taken.
- 7.2.5 The meeting shall be held if, at least the concerned Director for the proposal, Director (Finance) and C&MD are present. If quorum as above is not met, case shall be approved by circulation. The Directors, who are not present for reasons for exigencies, will be granted leave of absence by C&MD.
- 7.2.6 The Record Notes of the proceedings of the Committee shall be put up by the Head of C&P or his nominee and after approval by all functional directors shall be issued under signature of C&MD.
- 7.2.7 Record Notes consisting of ECPC Note and proceedings for all the cases considered and approved by ECPC shall be forwarded to the Company Secretary, by the Head of C&P on a periodic basis for placing the same before Board of Directors for information in terms of Article 94 of Memorandum and Articles of Association of GAIL, in the meeting which follows such intimations.
- 7.2.8 All the meetings of the ECPC shall be serial numbered and a record of Notes deliberated upon and the outcome thereof shall be kept for any future reference by the C&P Department at Corporate Office.

Note: The Board in its 194th meeting held on 28th July, 2003 and 273rd meeting held on 24th July, 2009 reviewed Delegation of powers with respect to award of contracts and decided that cases falling beyond powers of Director shall be put up to ECPC.



Chapter 8

Delegation of Powers (DoP) for approval of Purchase / Contracts recommendations (Projects for Clients) where GAIL acts as consultant

(Cases without Power of Attorney)

Approval for BEC, PBO , Recommendation for Award of contract / order and extension of scope of services, repeat order, completion period etc.

A. Up to Director

S. No.	Particulars	Director	E-9/ E8 (If OIC)	E-8	E-7	E-6	E-5
(i)	When more than one valid tenders are received and the lowest techno - commercially acceptable tender is considered for award	Upto Rs.200 crores	Upto Rs.100 crores	Upto Rs.50 crores	Upto Rs.25 crores	Upto Rs.5 crores	Upto Rs.2 crores
(ii)	When only Single /Sole/ Nomination/ Proprietary techno -commercially acceptable tender is received	Upto Rs.100 crores	Upto Rs.50 crores	Upto Rs.25 crores	Upto Rs.5 crores	Upto Rs.2 crores	Upto Rs.50 lacs
(iii)	Repeat order when there is no change in rates, terms and conditions and subject to procedure as given in C&P manual	Upto 25% of the original quantity					
(iv)	Extension of scope of existing Works / Services / Consultancy Services contracts with no change in terms and conditions and/or approval of extra (new) items and/ or Substituted Items and/ or AHR items (beyond SOR Qty.) [For contracts awarded within own powers] (reasons to be recorded in writing)	Upto 20% of the contract value					
(v)	Extension of scope of existing Works / Services / Consultancy Services Contracts with no change in terms and conditions and / or approval of extra (new) items and/ or Substituted Items and/ or AHR items (beyond SOR Qty.) [For contracts awarded beyond their own powers] (reasons to be recorded in writing)	Upto 20% of the contract value, subject to ceiling as under (ii) above					

B. COD (Committee of Functional Directors)

S. No.	Particulars	COD
(i)	When more than one valid tenders are received and the lowest techno - commercially acceptable tender is considered for award	Above Rs.200 crores
(ii)	When only Single /Sole/Nomination/ Proprietary techno - commercially acceptable tender is received	Above Rs.100 crores
(iii)	Repeat order when there is no change in rates,	Upto 25% of the original quantity



	terms and conditions and subject to procedure as given in C&P manual	
(iv)	Extension of scope of existing Works/ Services / Consultancy Services contracts with no change in terms and conditions and/or approval of extra (new) items and/ or Substituted items and/ or AHR items (beyond SOR Qty.) for contracts awarded	Full Powers

Notes:

- (i) Powers for approval of recommendations for purchase would vest with executives in C&P at site and CO; OICs at site/ work centre, E9/E8 as HoD (those who are reporting directly to a Director or C&MD) at CO. Powers for approval of recommendation for “works”/ “consulting services”/ “hiring of contract services” would vest with executives of concerned user departments, OIC.
- (ii) When enquiry is issued to single vendor or single commercial acceptable case is decided as per the client’s direction/decision, case shall be processed as normal after recording client’s direction/decision.
- (iii) In case where Approving authority is Committee of Functional Directors, the approval of BEC and PBO is to be obtained from the concerned Director.
- (iv) Committee of Functional Directors for approval of recommendation for award of contract/ order would consist of Director (Finance), Director (Nominated on case to case basis) and concerned Director. However, the placement of all awards will be done by GAIL’s clients.
- (v) In case of any client is providing power of attorney to GAIL for placing award/ contract directly upto certain value, then such case shall be processed as per normal DoP provisions contained in other chapters.
- (vi) E9/E8 if OIC will have full administrative powers for administration of contracts awarded within their own powers.
- (vii) Directors will have full administrative powers for administration of contracts including extension of completion dates of Contracts with or without application of Price Reduction Schedule (PRS), implementation of arbitration/ courts award for Works, Services, Consultancy Services and Purchase including Stores & Spares and other services, deviation to the terms and conditions of contracts awarded unless specifically restricted.
- (viii) Powers for extension of scope of existing contracts / repeat orders (as the case may be) are concurrent powers to be exercised as per ceilings specified under DoP for various levels of competent authority and not in a manner that each level would exercise as limit e.g. if a case is put up to functional Director, the values indicated hereunder are to be read as overall ceiling inclusive of approvals already taken at levels below within their respective powers, and so on.